School of Law
University of Missouri

Legal Studies Research Paper Series
Research Paper No. 2026-40

The Federal Taxing Power in Its New Constitutional Era

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(*forthcoming* TAX LAW REVIEW)

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ABSTRACT

A paradox now sits at the heart of constitutional tax law. Recent jurisprudence culminating in *Moore v. United States* has presumably revived the realization requirement as a constitutional constraint while also reaffirming that income taxes rest on Article I's excise power. Those commitments reflect potentially competing conceptions of the federal taxing power: one seemingly limiting Congress through realization-tied definitions of "income," the other treating excises as a broad category that can reach wealth-adjacent tax bases, potentially including unrealized income. This recent jurisprudence thus leaves both many long-standing tax provisions and major reform proposals on uncertain constitutional ground.

This Article synthesizes this jurisprudence to describe a theory of the taxing power for this new era. We argue that sense can be made of the competing lines of cases by seeing the key constitutional questions as structural, not definitional: first, whether a tax provision targets a proper excise subject (an activity, transaction, or institutional participation distinct from ownership as such); and, second, whether statutory design keeps liability bounded to and satisfiable from that taxed base. We develop these two questions through our proposed Base-Tether framework as an interpretive reconstruction that synthesizes the anti-detachment intuition from *Moore* and *Eisner v. Macomber* with the long line of excise tax cases. While we view the taxing power at the founding as originally broader than this, scholars, policymakers, and attorneys, we are undoubtedly now in a new constitutional era that scholars, attorneys, and policymakers must take seriously. This framework thus supplies drafting and litigation guidance for navigating the post-*Moore* minefield of uncertainty as to what tax provisions are constitutionally vulnerable in this new era.

INTRODUCTION

The Supreme Court has signaled a new era for the federal taxing power.[1] Realization has reemerged as a likely constitutional constraint, even as the Court has reaffirmed that income taxes

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[1] See Alex Zhang, *The Forgotten Income-Attribution Power,* 135 YALE L.J. 923, 925–30 (2026) (explaining how *Moore v. United States* has transformed the constitutional law of taxation); John R. Brooks & David Gamage, *The Original Meaning of the Sixteenth Amendment,* 102 WASH. U. L. REV. 1, 22–23 (2024) (discussing *Moore* and its stakes); Michael J. Graetz, *What I Learned at the Oral Argument in* Moore, 181 TAX NOTES FED. 2151, 2152 (2023) ("when the constitutional holding of *Eisner v. Macomber* seemed moribund . . . I told my students the Constitution appeared to stop where the Internal Revenue Code begins. But no one should say that anymore.").

are grounded in the older—and broader—Article I excise power.[2] Tax law experts now expect that a majority of the current Court supports some form of a constitutional realization requirement and would thus strike down prominent reform proposals, including wealth taxes and the billionaire mark-to-market income tax reforms proposed by the Biden administration and the Harris presidential campaign.[3] But at the same time, in its recent revival of Congress's excise power, the Court has also reaffirmed that Congress's taxing power does not depend on the application of the "income" label and may extend to almost any conceivable tax base. Thus the Court has left substantial uncertainty about what the realization requirement is, when it might apply, and how it would interact with the expansive excise tradition and the text of the Constitution. That uncertainty matters because many important tax provisions, and many plausible reforms, go beyond "realized" cash receipts and measure liability instead by reference to value or other wealth-related assessments.[4]

The practical stakes of this doctrinal collision are already visible. Consider Roger Ver, an early cryptocurrency investor who made a fortune as one of Bitcoin's first major boosters, earning him the nickname "Bitcoin Jesus."[5] Ver later renounced his U.S. citizenship and moved abroad. When wealthy people give up citizenship, federal law treats them as if they sold everything they own the day before they left, a "deemed sale" that triggers tax on gains they have never actually realized. Ver argued that this exit tax is really a tax on the mere ownership appreciated assets, not a tax on any real transaction.[6] Without an actual sale, he contended, such a tax would be a "direct tax" that the Constitution requires to be apportioned among the states (a requirement that would effectively kill it).[7] The case resolved without a ruling on that claim, but it nonetheless offers a template for

[2] *Moore v. United States*, 602 U.S. 572, 584 (2024) ("Therefore, the Sixteenth Amendment expressly confirmed what had been the understanding of the Constitution before *Pollock*: Taxes on income, including taxes on income from property, are indirect taxes. . . .").

Note that throughout this Article we use the term "excise" as shorthand for the entire category of duties, imposts, and excises and thus as synonymous with the term "indirect taxes." For discussion of "indirect" as a conventional shorthand and reasons to be cautious with that label, see Brooks & Gamage, *supra* note 1, at 91–92; David Gamage & Darien Shanske, *Against Doctrinal Siloing: Harmonizing Fiscal Federalism and the U.S. Constitution,* 103 WASH. U. L. REV. (forthcoming 2026) (manuscript at 27–31).

[3] Reuven S. Avi-Yonah, *Taxing the Super-Rich After Moore,* 184 TAX NOTES FED. 61, 61 (July 1, 2024) (predicting Court would strike down billionaire mark-to-market proposals); Jasper L. Cummings, Jr., *Why They Saved the Income Tax,* 185 TAX NOTES FED. 1383, 1393 (Nov. 18, 2024) ("There are still probably five votes on the Court, if not six, for a constitutional realization requirement."); Robert Goulder, *Losing the Battle, Winning the War: Making Sense of Moore,* 115 TAX NOTES INT'L 15, 19 (July 1, 2024) ("That's four justices in favor of the realization requirement, one justice against, and four unknowns — at least two of which are probably leaning hard in favor of a requirement."). See also notes 63-66 and accompanying text *infra*.

[4] *See* Ari Glogower, *A Constitutional Wealth Tax,* 118 MICH. L. REV. 717, 737–38, 765 (2020) (discussing such provisions).

[5] Tim Shaw, Bitcoin 'Jesus' Hopes for Trump Pardon, Denies Fugitive Claim (Thomson Reuters Checkpoint News) (Feb. 4, 2025).

[6] Defendant's Motion to Dismiss, United States v. Ver, No. 2:24-cr-00103 (C.D. Cal. Dec. 3, 2024).

[7] For simplicity we hereafter treat a requirement to apportion as effectively a ruling of unconstitutionality. That said, for discussion of how apportioned taxes could be made viable today with modern fiscal tools, see note 39 and accompanying text *infra;* however, this would not save the existing statutory expatriation exit tax which is designed to be uniform and not apportioned.

the new era.[8] Once realization rhetoric returns to constitutional tax law, provisions that operated for decades without constitutional anxiety become plausible litigation targets.

The territory at risk extends well beyond the exit tax. A rigid constitutional realization requirement would put pressure on numerous existing tax provisions along with many prominent reform proposals.[9] Headline reforms like a wealth tax or billionaire income tax proposals are not the only vulnerable targets. A constitutional realization requirement would invite challenges to the Code's technical "plumbing," including many anti-deferral and anti-abuse rules that deliberately trigger gain or impute income without a conventional sale.[10] The majority in *Moore v. United States* acknowledged this "blast radius," warning that the taxpayers' arguments in that case could call into question large portions of the Code.[11] Yet *Moore* rejected the taxpayer's position without resolving the most important arguments, leaving Congress and lower courts uncertain about which tax designs remain safe and which might be struck down.

The stakes are doctrinal as well as fiscal. *Moore* reaffirmed two century-old strands of constitutional tax law without explaining how they fit together. One is the excise tradition, under which the Court has long upheld unapportioned federal taxes on privileges and participation in economic institutions, even when the base is measured by value or wealth proxies without realization.[12] (Early examples include the Whiskey Tax of 1791 and the carriage tax at issue in *Hylton v. United States* in 1796.[13]) The other is *Eisner v. Macomber*'s severance intuition, which could be read to hold that absent a transaction changing the taxpayer's relationship to the underlying property, taxing appreciation resembles a direct tax on ownership and thus requires apportionment.[14] *Moore* thus suggests both that realization is now a presumptive constitutional requirement for an "income tax," but also that the income tax remains an excise, and thus whether it taxes "income" is not dispositive.[15] The post-*Moore* challenge is to translate those conflicting instincts into a coherent theory, one that identifies what distinguishes a tax on a specific transaction or activity from a tax on mere ownership dressed up in excise clothing.

This Article offers a synthesis. We argue that the post-*Moore* boundary is best understood as a concern about structural "detachment" rather than as a metaphysical debate about what "income" means definitionally. The constitutional anxiety animating *Moore* is that Congress might enact what is in effect an unapportioned wealth tax by relabeling "ownership" as an excisable "privilege."[16] To the extent that this concern is legitimate, we argue that the solution is operational. When a tax targets a specific transaction or activity, and the statute's design keeps liability bounded

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[8] *United States v. Ver*, No. 2:24-cr-00103-MWF (C.D. Cal. Oct. 14, 2025) (order dismissing indictment and denying motion as moot); Reuven S. Avi-Yonah, *What Is the Best Candidate for a Post-Moore Constitutional Challenge?,* 182 TAX NOTES FED. 105 (Jan. 1, 2024).

[9] Notes 26–29 and accompanying text *infra*.

[10] Sloan G. Speck, *The Realization Rule as a Legal Standard,* 16 COLUM. J. TAX L. 1, 20–31 (2024).

[11] *Moore*, 602 U.S. at 592.

[12] For comprehensive discussion of this tradition, termed as the "Excise Tax Canon", see John R. Brooks & David Gamage, *Taxation and the Constitution, Reconsidered,* 76 TAX L. REV. 75, 82–86, 106–08, 127–28 (2022). See also Ari Glogower, *The Constitutional Limits to the Taxing Power,* 93 FORDHAM L. REV. 781, 781–85 (2024) (urging a functional account of constitutional tax limits).

[13] 3 U.S. (3 Dall.) 171 (1796).

[14] *Eisner v. Macomber*, 252 U.S. 189, 207–08 (1920).

[15] David Gamage, John R. Brooks & Edward J. McCaffery, *Moore Questions, Some Answers: Fixing the Personal Tax System Despite Constitutional Constraints,* 28 FLA. TAX REV. 381, 399–400 (2025).

[16] David M. Schizer & Steven G. Calabresi, *Wealth Taxes Under the Constitution: An Originalist Analysis,* 77 FLA. L. REV. 1401, 1515–16 (2025).

to and satisfiable from that base, the levy should be considered a genuine excise rather than a "detached" tax on ownership. By contrast, when a tax instead creates a liability that "floats free" of the underlying transaction or activity, collectable as a personal debt against the taxpayer's general wealth, it mimics prohibited unapportioned direct taxes. As a trivial example, imagine a sales tax triggered by the purchase of a single item, where liability is measured as a percentage of a person's net worth. The Court's jurisprudence, we believe, is better read as reflecting an anxiety that an unbounded Congress could enact such a detached tax, rather than a concern about a metaphysical concept of "income." Realization is *one* way to avoid detachment, but other base-tethered designs can also satisfy the constitutional test. We explain that the Court's jurisprudence implies that realization should be understood as merely one subcategory of such base-tethered designs.

We term this structural boundary the Base-Tether framework. Under this framework, an unapportioned tax is most defensible as an excise when the statute supplies an operational tether, a design that keeps liability bounded to the taxed activity or transactional base. We argue that this operational framework is the most coherent way to reconcile the Court's competing instincts and that it supplies a workable boundary for the next generation of tax cases. It is, in short, a theory of the federal taxing power for its new constitutional era.[17]

The foundations of this framework have a deep pedigree, having sustained the federal estate tax since *Knowlton v. Moore* upheld value-measured transfer taxation as an excise on the privilege of transfer,[18] as well as other taxes that go back even farther in time. Furthermore, this framework cuts both ways. It explains why reform proposals like corporate-level value taxes or making borrowing a deemed realization event can be designed as valid excises. It equally explains why a free-floating annual tax on land or other property, or on wealth or unrealized gains more generally, would face severe constitutional difficulty absent apportionment.

The framework we develop consists of two questions, each corresponding to one step in the constitutional inquiry. First, has Congress identified a valid excise subject—i.e., a transaction or activity distinct from ownership as such? Second, does the statute's design keep liability tethered to the base, or does it float free into a personal obligation?

This second question, Step 2, is this Article's distinctive contribution, and examines whether the statute's design keeps liability bounded to and satisfiable from the base. Detachment tends to manifest in two ways: the liability may be measured by wealth outside the asserted base, or the statutory design may predictably force payment from unrelated assets. A tax that passes Step 1 but fails Step 2 is a pretextual excise, one that uses a transaction or activity as a hook to impose what is de facto a levy on ownership.

The pre-*Moore* academic literature had generally debated two competing views of the federal taxing power.[19] The first view held that the constitutional definition of "income" imposes

[17] Arguably, this new era may have begun as early as *NFIB v. Sebelius*, which cited *Eisner v. Macomber* positively, contrary to the near-scholarly consensus at that time that *Macomber* has been effectively overturned by subsequent cases and consigned to the dustbin of history; for discussion, see Brooks & Gamage, *Reconsidered*, *supra* note 12, at 84-113; Graetz, *supra* note 1.

[18] *Knowlton v. Moore*, 178 U.S. 41, 56–59 (1900).

[19] Note that this taxonomy simplifies a complex literature for expository clarity. Within each view, scholars disagree on subpoints, for instance, how much weight to place on originalist arguments versus doctrinal precedent. For representative positions across the spectrum, see, e.g., Amandeep S. Grewal, *Billionaire Taxes and the Constitution,* 58 GA. L. REV. 249 (2023); Erik M. Jensen, *Did the Sixteenth Amendment Ever Matter? Does It Matter*

substantive limits on what Congress may tax without apportionment. This account further held that "income" requires some form of realization or severance as inherent to its constitutional definition. *Macomber* is the key doctrinal anchor for this first view.

The second view, which we and others defended, held that *Macomber* was wrongly decided, and that prominent billionaire mark-to-market tax reform proposals (and potentially also wealth tax reform proposals) should be constitutionally permissible without apportionment.[20] Under this view, the Sixteenth Amendment restored pre-*Pollock* authority rather than creating substantive limits on what counts as taxable "income," and the long line of excise cases confirms that value-measured taxes have never required a cash sale as a constitutional predicate.[21]

However, *Moore*'s combination of excise reaffirmation and renewed realization rhetoric suggests that the current Court will not fully embrace either of these views, at least in pure form. This Article argues that neither view can be adopted in full without either invalidating settled law or undermining the limiting principle that the Court seems determined to enforce. Thus, rather than asking whether a transaction satisfies some dictionary definition of "income" or of "realization," the Base-Tether framework asks whether statutory design keeps liability connected to the taxed base, translating *Macomber*'s anti-detachment intuition into an operational constraint.

Before proceeding, a clarification about our posture is warranted. We do not claim that a constitutional realization requirement is compelled by the Constitution's text or original meaning. Indeed, we have argued elsewhere that *Pollock v. Farmers' Loan & Trust Co.* erred in interpreting the apportionment requirement as intended to protect against the taxation of property or wealth. Moreover, we have also argued that *Eisner v. Macomber*'s effort to constitutionalize realization through dictionary parsing is historically and doctrinally mistaken.[22] *Pollock* and *Macomber* were poorly reasoned and destabilized tax law and the fiscal strength of the government. However, after *Moore*, it appears that some of their holdings still stand, and thus we think it is close to certain that a majority of the current Court will treat some realization-like constraint as constitutionally required. While we continue to believe that a first-best approach would be to overrule *Macomber* fully, the real risk that the Court might instead reify a strict realization requirement demands the search for an alternative approach that takes seriously the Court's concerns. The project here is therefore interpretive, nor normative. Taking that doctrinal trajectory as the starting point, we synthesize the excise cases, *Macomber*'s anti-detachment instinct as affirmed by *Moore*, and the relevant Constitutional text, structure, and history. From this synthesis, we develop a coherent boundary framework that can guide Congress, scholars, and courts—indeed, as we will show, our framework preserves both the broad taxing power of Congress and the Court's desire for a limiting principle better than reading a strict realization requirement into the definition of "income."

The remainder of this Article proceeds in four Parts plus a brief Conclusion. Part I describes the post-*Moore* minefield and situates it within the Constitution's taxing categories. Part II examines the leading post-*Moore* approaches and explains why each is insufficient for guiding the new era. Part III develops the Base-Tether framework as an interpretive synthesis, operationalized

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Today?, 108 NW. U. L. REV. 799 (2014); Bruce Ackerman, *Taxation and the Constitution,* 99 COLUM. L. REV. 1 (1999).

[20] See, e.g., Brooks & Gamage, *Reconsidered*, *supra* note 12, at 76-78 (arguing that such reforms should be constitutionally permissible); Dawn Johnsen & Walter Dellinger, *The Constitutionality of a National Wealth Tax,* 93 IND. L.J. 255 (2018) (defending constitutionality of wealth taxes).

[21] Brooks & Gamage, *Reconsidered*, *supra* note 12, at 124–27.

[22] Brooks & Gamage, *Reconsidered*, *supra* note 12, at 129–34.

as a two-step inquiry into both subject and tethering. Part IV applies that framework to the provisions and reform proposals most likely to become test cases in the new era, highlighting the drafting choices that move regimes toward or away from constitutional vulnerability. The Conclusion draws out implications for courts, Congress, and the future of the taxing power.

I. Understanding the Post-*Moore* Landscape

We begin with what *Moore* held and what it reserved, because the reservations define the constitutional uncertainty this Article addresses. The case involved the so-called "Mandatory Repatriation Tax" (MRT), a one-time levy Congress imposed in 2017 on the U.S. shareholders of certain foreign corporations, based on the accumulated but undistributed earnings of those foreign corporations.[23] The taxpayers in *Moore* argued that taxing them on income they had never received violated the Constitution because the Sixteenth Amendment permits taxes only on "realized" income. The Court rejected that argument and upheld the MRT, but it did so on narrow grounds: Congress has long been permitted to attribute an entity's realized, but undistributed, income to its owners and to tax the owners on their pro rata shares.[24]

That holding, standing alone, would have been unremarkable. What made *Moore* consequential was what the Court said *around* the holding. The majority emphasized the "blast radius" that would follow from constitutionalizing a rigid realization requirement, since it could call into question long-standing "taxes on partnerships and S corporations," along with other provisions that tax shareholders on undistributed entity income.[25] Although the taxpayers presented the case as almost entirely about whether realization is constitutionally required for an income tax, the Court expressly declined to resolve that question. The Court expressed some sympathy for a realization requirement, but it left open the status of unapportioned taxes on "wealth or net worth" and taxes "on appreciation," and it stressed that "other kinds of taxes" could "raise different issues."[26]

At the same time, the Court reaffirmed its long-standing conclusion—going back to at least 1881—that the income tax is an "indirect" tax, i.e., one that falls under the constitutional heading of "duties, imposts, and excises."[27] Indeed, that appears to be the view of all nine Justices, including Justice Thomas, who wrote in his dissent that "[t]he only thing the Amendment changed about the Constitution was to abolish *Pollock*'s rule that an income tax is a direct tax if a tax on the source of the income would be a direct tax."[28] In other words, the excise line of cases remain good law, and the income tax is only one instantiation of an excise.

The result is a decision that signals constraint without specifying the boundary, while also reiterating Congress's broad excise power. *Moore* revived *Eisner v. Macomber*'s realization-as-severance language as constitutionally relevant while leaving unclear how far that relevance extends, and whether it would even be relevant for other kinds of excises not based on "income." Lower courts and litigants now face a foundational question the Supreme Court chose not to

[23] *Moore*, 602 U.S. at 580–85.
[24] *Id.* at 584–85.
[25] *Id.* at 584–85, 598–99.
[26] *Id.* at 598.
[27] *Id.* at 583.
[28] *Moore*, 602 U.S. at 640 (Thomas & Gorsuch, JJ., dissenting).

answer: if realization matters constitutionally, when does it matter, and what design features determine whether a tax crosses the line?

A. The blast radius and the drafting problem

The provisions at risk are not limited to hypothetical wealth taxes. A rigid constitutional realization requirement would cast doubt on significant portions of the existing Code.

Start with the provisions *Moore* itself flagged. The Court noted that the taxpayers' arguments could jeopardize the taxation of partnerships and S corporations, where owners are taxed on entity income they have not received, and have no right to receive, in cash.[29] The same logic would pressure Subpart F and GILTI, which attribute foreign-corporation income to U.S. shareholders; and OID rules, which tax debt-instrument holders on accrued but unpaid interest.[30] Each of these regimes taxes value or imputed income before a conventional realization event.

The implications extend further, beyond just provisions involving attribution. Mark-to-market regimes for derivatives (Section 1256) and securities dealers require annual recognition of unrealized gains.[31] Constructive-sale rules trigger gain when taxpayers hedge appreciated positions without selling.[32] Installment-sale limitations accelerate recognition in certain contexts. Even core features of income taxation, like accrual accounting and depreciation (i.e., unrealized losses), could be put at risk. These provisions have operated for decades or longer without serious constitutional challenge. *Moore*'s renewed realization rhetoric thus reopens many questions that were thought settled.

The pressure runs in both directions. If realization is constitutionally required, Congress may be prohibited from enacting prominent reform proposals that have dominated many recent tax-policy debates, including proposals from the Biden administration and the Harris campaign that would impose annual mark-to-market taxation on billionaires' unrealized gains.[33] But, on the other hand, if realization can be evaded through mere relabeling, the constitutional constraint is meaningless; Congress could potentially impose a wealth tax by calling it an "excise on the privilege of ownership" and measuring it by net worth, skipping the "income" question entirely. The scope and operation of any realization requirement is thus a vital and pressing question.

B. Early doctrine and Pollock*'s disruption*

The Constitution grants Congress broad power to "lay and collect Taxes, Duties, Imposts and Excises," subject to two constraints: "Duties, Imposts and Excises" must be "uniform throughout the United States," and "direct Taxes" must be "apportioned among the several States" according to population, meaning that each State's share of the direct tax revenue is equal to its share of the

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[29] *Id.* at 592–97.

[30] See Reuven Avi-Yonah, Elise Hocking & Muskan Sharma, *Containing the Blast Radius: Can Congress Save the Code from Realization?,* 28 FLA. TAX REV. 343, 344-45 (2025) (cataloging Code provisions vulnerable to constitutional challenge post-*Moore*); *Moore*, 602 U.S. at 597 (listing provisions at risk including §§ 305(c), 446, 448, 701, 951-965, 951A, 1256(a), 1272(a), 1361-1379, 2501-2524).

[31] See I.R.C. § 1256(a) (requiring mark-to-market for regulated futures contracts and certain options); Speck, *supra* note 10, at 35-36 (explaining Section 1256 mark-to-market requirements).

[32] See I.R.C. § 1259 (constructive sales treatment); *Moore*, 602 U.S. at 597 (listing §§ 446, 448 (accrual accounting) among potentially vulnerable provisions); Speck, *supra* note 10, at 41-42 (discussing how constitutional realization requirement threatens reform efforts).

[33] *See* note 3 and accompanying text *supra*.

population.[34] Apportionment is a difficult requirement to comply with, as Congress and the courts would soon discover. However, the Framers did not define the "direct taxes" subject to apportionment, and the historical record suggests the category was understood narrowly, perhaps encompassing just poll taxes and taxes on land or real property.[35]

The Supreme Court's earliest encounter with the distinction confirmed that narrow understanding. In *Hylton v. United States*, decided in 1796, the Court upheld a federal tax on carriages over the objection that it was a "direct tax" requiring apportionment.[36] The Justices reasoned that apportionment would be so impractical for a carriage tax (producing wildly unequal per-carriage rates across states) that the Framers could not have intended it.

Later cases carried forward *Hylton*'s narrow construction. In *Springer v. United States*, the Court upheld the Civil War income tax as an "excise or duty," placing income taxation outside Article I's direct tax category that required apportionment.[37] Other decisions sustained federal taxes on inheritances, insurance premiums, and corporate activities, all measured by value or on income-like bases, without requiring apportionment.[38] By the late nineteenth century, the pattern was clear: taxes on specific legal incidents (transactions, privileges, successions) fell within the duties/imposts/excises category even when the base resembled property.

Pollock v. Farmers' Loan & Trust Co. disrupted that equilibrium. In two decisions issued in 1895, the Court invalidated the 1894 federal income tax as applied to income *from property*.[39] The reasoning was formalistic: a tax on income from property was deemed equivalent to a tax on the property itself, and taxes on property were direct taxes requiring apportionment. *Pollock* further extended that logic from real property to personal property, effectively holding that any income tax reaching returns on capital was a direct tax.[40]

Pollock is widely regarded as one of the Court's most consequential missteps.[41] But whatever its interpretive merits, *Pollock*'s practical consequence was immediate and severe; it placed Congress under an apportionment constraint that was thought to make a modern national income tax functionally impossible.

To see why, one must understand what apportionment requires in operation. The requirement is counterintuitive: Congress must allocate the total revenue to be raised from a "direct tax" across the states in proportion to their populations, regardless of where the taxed base is actually located. If Congress wants to raise $100 billion through an apportioned tax, it must assign each state a quota equal to $100 billion multiplied by that state's share of the national population. A state with 10% of the population owes 10% of the revenue, even if it holds only 3% of the taxable base. Congress must then set effective rates within each state at whatever level is necessary to raise that state's quota from the base located there.

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[34] U.S. Const. art. I, § 8, cl. 1; U.S. Const. art. I, § 9, cl. 4.

[35] Brooks & Gamage, *Reconsidered*, *supra* note 12, at 91–94.

[36] *Hylton v. United States*, 3 U.S. (3 Dall.) 171 (1796).

[37] *Springer v. United States*, 102 U.S. 586, at 602–03.

[38] *Knowlton*, 178 U.S. at 56–59; *Pac. Ins. Co. v. Soule*, 74 U.S. (7 Wall.) 433 (1869); *Nicol v. Ames*, 173 U.S. 509, 521 (1899); *Flint v. Stone Tracy Co.*, 220 U.S. 107, 165 (1911).

[39] *Pollock v. Farmers' Loan & Tr. Co.*, 157 U.S. 429 (1895); *Pollock v. Farmers' Loan & Tr. Co.*, 158 U.S. 601 (1895).

[40] *Pollock*, 158 U.S. 601.

[41] *Moore*, 602 U.S. at 600–01 (Jackson, J., concurring); Brooks & Gamage, *Reconsidered*, *supra* note 12, at 80–84.

For an unevenly distributed base, the arithmetic is punishing. Wealth in the United States is highly concentrated geographically; a handful of states (California, New York, Texas, Florida) hold disproportionate shares of financial assets. An apportioned wealth tax would require dramatically higher effective rates in less-wealthy states to meet their population-based quotas, while rates in wealthy states would be correspondingly low. This is why many have concluded that apportionment functions as a near-absolute barrier; not because the Constitution forbids wealth taxes in principle, but because apportionment makes them impractical, politically and administratively (at least without the use of modern fiscal tools to address the perceived inequities of straightforward apportionment).[42]

C. The Sixteenth Amendment as restoration, not invention

The Sixteenth Amendment, ratified in 1913, provides that "Congress shall have power to lay and collect taxes on incomes, from whatever source derived, without apportionment among the several States."[43] On its face, the text does not define "income," impose a realization requirement, or create any new substantive limits on what Congress may tax. It just removes the apportionment obstacle that *Pollock* had erected—it no longer matters if the source of the income is property—and restores Congress's pre-existing income tax power.

The Court's early post-ratification cases confirmed that understanding. In *Brushaber v. Union Pacific Railroad Co.*, Chief Justice White explained that the Amendment conferred "no new power of taxation" but instead addressed the specific problem *Pollock* had created: the erroneous classification of income taxes as direct taxes requiring apportionment.[44] The Amendment's function was "to relieve all income taxes . . . from . . . apportionment," not to establish income taxation as a freestanding constitutional category with its own doctrinal limits.[45] *Stanton v. Baltic Mining Co.* reinforced that point, holding that the Amendment did not expand Congress's power but simply prevented courts from treating taxes on income as "direct" based on *Pollock*'s source-based reasoning.[46]

This restoration account has a critical implication. If the Sixteenth Amendment had created a *new* taxing power (a sui generis "income tax" category distinct from Article I's existing framework), then one might argue that the constitutional meaning of "income" supplies built-in limits, including perhaps a realization requirement. But if the Amendment merely restored the pre-*Pollock* understanding that income taxes fall within the duties/imposts/excises category, then income taxes are simply a subset of excises, subject to whatever constraints (if any) apply to excises generally.[47]

Moore expressly adopted the restoration account. The majority stated that the Sixteenth Amendment "confirmed" the pre-*Pollock* understanding and reiterated that income taxes remain

[42] For scholarship on how modern fiscal tools potentially make apportionment again viable today, including for wealth taxes, see, e.g., Donald B. Tobin, *Have Your Cake and Eat It Too, Using Apportionment to Preserve Congress's Tax Power,* 28 FLA. TAX REV. 438 (2025); Brooks & Gamage, *Reconsidered*, *supra* note 12, at 78–82, 104–06; Gamage & Shanske, *supra* note 2, at 40–46.

[43] U.S. Const. amend. XVI.

[44] *Brushaber v. Union Pac. R.R. Co.*, 240 U.S. 1 (1916).

[45] *Id.* at 17–19.

[46] *Stanton v. Baltic Mining Co.*, 240 U.S. 103, 112–13 (1916).

[47] Justice Thomas argues that the Amendment makes imperative the need to distinguish income from its source, *Moore*, 602 U.S. at 641, and we would agree. But Thomas than makes the leap to saying that realization is required to make that distinction. But that is not so, as we will discuss here in due course.

grounded in Article I's excise power,[48] and the other opinions agree.[49] That framing is consequential. If income taxes are excises, and excises may be measured by value, not only income (as the next Section explains), then any constitutional realization requirement must operate as a structural constraint on excise design generally, not just as a definitional limit on nominal "income" taxes. This is in part because a realization limit that applies only to taxes labeled "income taxes" would be trivial to circumvent. Congress could impose the same value-measured burden as an "excise" on something *other than* income and thus escape the constraint entirely.

D. The excise category has been broad in subject and deferential in measurement

If income taxes are excises, then their constitutional validity should depend on the limits (if any) that apply to excises generally. The Court's excise cases establish a permissive framework: Congress may impose unapportioned taxes on a wide range of subjects (transactions, privileges, institutional participation, and defined legal incidents) and may measure those taxes by value, wealth, or income without triggering apportionment.

A foundational case is *Knowlton v. Moore*, decided in 1900 (i.e., after *Pollock* but before the Sixteenth Amendment).[50] Congress had imposed a federal inheritance tax measured by the value of property passing at death. The taxpayer argued that a tax measured by property value was functionally a tax *on* property and therefore a direct tax requiring apportionment. The Court rejected that argument. Instead, the Court held that the tax was imposed on the *privilege of succession*—the legal right to receive property at death—not on the property itself.[51] That the tax was *measured* by the property's value did not change its character. As the Court put it, "the thing forming the universal subject of taxation, is the transmission or receipt; and not the right existing to regulate."[52]

Other cases of that era reinforce the principle of *Knowlton*: the *subject* of a tax determines whether it is a direct tax or an indirect excise; the *measure* does not. In *Nicol v. Ames*, the Court upheld a tax on sales at boards of trade, measured by the value of the commodities sold.[53] The taxpayer argued that measuring by value converted the tax into a direct tax on property. The Court disagreed; the subject was the *privilege* of using an organized exchange, and Congress could measure that privilege by any reasonable metric, including the value of transactions conducted.[54]

Notably, *Nicol* reasoned that a sales trigger is not self-justifying as an excise. It drew a sharp distinction between a tax on "the privilege of selling property at the exchange" and "a tax upon every sale made in any place."[55] "The latter tax is really and practically upon property," the Court explained, because it "takes no notice of any kind of privilege or facility, and the fact of a sale is alone regarded."[56] The levy survived only because it was limited to sales "at the exchange," allowing the Court to characterize it as "a duty upon the facilities made use of and actually

[48] Note 2 and accompanying text *supra*.
[49] *Moore*, 602 U.S. at 605 (Barrett and Alito, JJ., concurring); *id.* at 640 (Thomas & Gorsuch, JJ., dissenting).
[50] 178 U.S. 41 (1900).
[51] *Id.* at 55.
[52] *Id.* at 59.
[53] 173 U.S. 509 (1899).
[54] *Id.* at 519.
[55] *Nicol*, 173 U.S. at 519–20.
[56] *Nicol*, 173 U.S. at 520, 522.

employed."[57] The sale thus supplied a metric of facility use; it did not itself supply the constitutional justification. *Nicol*'s point was not that all taxes triggered by sales are direct—as we will see, transaction taxes are at the core of excise taxation—but that the Court's justification here depended on the connection between use of a distinct institutional facility and the tax imposed.

In *Flint v. Stone Tracy Co.*, the Court applied the same logic to a tax on the privilege of doing business in corporate form, measured by the corporation's income. The Court held that "it is no objection that the measure of taxation is found in the income produced in part from property,"[58] because the tax fell on the privilege, not on the property itself.[59] The Court emphasized that the argument against the tax "confuses the measure of the tax upon the privilege with direct taxation of the property."[60] Importantly, *Flint* also made clear that an excise on the "privilege of doing business" could alternatively be measured by wealth proxies (including business assets, capital, and other balance-sheet measures) without becoming a direct tax on property.[61] Again, the measure (income or wealth proxies) did not determine the classification; the subject (corporate privilege) did.

We have elsewhere called this line of cases the "Excise Tax Canon."[62] Collectively, these cases support at least three propositions. First, excises may be imposed on privileges, transactions, and defined legal incidents, not only on discrete sales or exchanges.[63] The Court's excise cases thus extend beyond discrete exchanges to ongoing commercial statuses and legally defined shifts in the incidents of ownership, even absent a conventional sale or transfer.[64] Second, excises may be measured by value, income, or wealth proxies without losing their character as indirect taxes. Third, the measure of a tax is constitutionally distinct from its subject; using value as the measure does not make a tax a direct tax on property. Furthermore, the Canon itself, we argue, stands for the idea that Court's should construe a tax as an excise if reasonable, even if it could also be described as a direct tax on property (as exemplified by the above cases).

These propositions create a puzzle for any constitutional realization requirement, however. If cases like *Nicol* and *Flint* permit Congress to impose unapportioned taxes measured by value, what prevents Congress from imposing a tax on the mere "privilege of owning appreciated assets" measured by appreciation (i.e., unrealized income) or by value (i.e., wealth)? The excise cases suggest that the *label* (privilege, transaction, excise) is not sufficient; as *Flint* itself recognized, a statute's "mere declaration" of its character "does not make it such" if inconsistent with its "meaning and effect."[65] (The Excise Tax Canon is not a blank check.) Labels are too easily

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[57] *Nicol*, 173 U.S. at 521–22.

[58] *Flint*, 220 U.S. at 163. Recall that these cases were after Pollock, but before the Sixteenth Amendment, so an unapportioned tax on income from property was still constitutionally prohibited.

[59] *Flint*, 220 U.S. at 162.

[60] *Flint*, 220 U.S. at 162.

[61] *Id.* at 165–67 (approving excises measured by business assets, bank deposits, and stock value).

[62] Brooks & Gamage, *Reconsidered*, *supra* note 12, at 82–83.

[63] *See* Thomas v. United States, 192 U.S. 363, 370 (1904) ("There is no occasion to attempt to confine the words duties, imposts and excises to the limits of precise definition. We think that they were used comprehensively to cover … privileges, particular business transactions, vocations, occupations and the like.").

[64] See *Patton v. Brady*, 184 U.S. 608, 616 (1902) (upholding as an excise a tax on tobacco "held and intended for sale," emphasizing the levy was not on "property as such" but on goods with reference to "their origin and their intended use"); *Fernandez v. Wiener*, 326 U.S. 340, 352 (1945) (upholding estate tax and explaining that Congress's death-tax power extends to "the creation, exercise, acquisition, or relinquishment of any power or legal privilege" incident to property when occasioned by death).

[65] *Flint*, 220 U.S. at 145.

manipulated. Nor is *measurement by value* the answer; the cases and long-standing practice expressly permit value measurement (consider the simple case of import tariffs, for example, where the tax is a percentage value). The answer, if there is one, must lie elsewhere: in some structural feature that distinguishes genuine excises from direct taxes dressed up in excise clothing.

*E. The post-*Moore *paradox*

The preceding Sections have traced two lines of doctrine from the excise tax cases. The first line, running from *Brushaber* through *Moore* itself, holds that the Sixteenth Amendment restored Congress's pre-*Pollock* power to tax incomes without apportionment as part of the Article I excise power. Income taxes are thus not a sui generis constitutional category with built-in definitional limits; they are a species of excise, subject to whatever constraints apply to excises generally. *Moore* expressly endorsed this account.[66]

The second line, running from *Knowlton* through *Nicol* and *Flint*, establishes that excises may be imposed on a wide range of subjects and measured by value without triggering apportionment. The subject of a tax determines its classification; the measure does not. Congress has broad latitude to tax privileges, transactions, and institutional participation, and to calibrate such taxes by income or property value. *Moore* did not expressly endorse this line, but neither has *Moore* nor any other Supreme Court decision said or explicitly suggested that this line of cases is not still valid. The federal estate tax continues as upheld in *Knowlton*.

If both lines are correct, what room remains for a constitutional realization requirement? The excise cases permit value measurement; *Moore* confirms that income taxes are excises; a realization constraint that operates only as a definitional limit on "income" would thus be trivial to evade—Congress could impose the same value-based burden through an excise labeled something other than an "income tax." To be clear, this may in fact be the best reading of the text of the Constitution and the Court's jurisprudence (other than *Pollock* and *Macomber*), and we have argued elsewhere for just such broad understanding of Congress's tax power. Indeed, the Court did warn of a "blast radius" that would follow from constitutionalizing an overly rigid realization requirement.[67] But the opinions in *Moore* nonetheless revealed a durable bloc of Justices prepared to constitutionalize realization. Justice Barrett, joined by Justice Alito, framed the question as whether the Sixteenth Amendment authorizes Congress to tax "unrealized sums" and answered: "No."[68] Justice Thomas, joined by Justice Gorsuch, likewise insisted that "incomes" under the Sixteenth Amendment include only amounts "realized by the taxpayer."[69] (Justice Jackson, by contrast, argued that realization is not constitutionally required and urged broad discretion for Congress, but no other Justices joined her concurrence.[70]) Moreover, the Court has been given multiple opportunities over the last century to fully overrule *Macomber* and has so far always declined.

[66] Note 2 and accompanying text *supra*.
[67] *Moore*, 602 U.S. at 584–85, 598–99.
[68] *Moore*, 602 U.S. at 604 (Barrett, J., concurring in the judgment).
[69] *Id.* at 620 (Thomas, J., dissenting).
[70] *Id.* at 606–33 (Jackson, J., concurring). Jackson's approach most closely matches our reading of the law (and she cites our amicus brief accordingly, s*ee id.* at 601).

The challenge is thus that *Moore* signals a revival of *Macomber*'s realization-as-severance rhetoric without explaining how it fits with the lines of excise cases or with the Excise Tax Canon and the broad tax power it implies. In the Parts that follow, we attempt to resolve this conflict.

II. THE POST-*MOORE* APPROACHES AND THEIR LIMITS

Part II tests the leading reconstructions offered by other scholars against the Court's signals of its post-*Moore* demands: primarily, the search for a limit that does not collapse into mere labels nor swallow settled law. A simple hypothetical sharpens the boundary question that a satisfactory theory of the taxing power, post-*Moore*, must be able to answer. Consider a levy that is undeniably attached to a market transaction yet measured by the taxpayer's overall wealth. We will call this the "Sales-Triggered Wealth Levy."

For instance, imagine that Congress imposes a federal tax on any sale of publicly traded securities, but rather than setting liability as a percentage of the sale price, it sets tax liability equal to one percent of the seller's entire net worth at the time of sale. As we will explain further below, this hypothetical Sales-Triggered Wealth Levy is a close cousin of a design move that Alex Zhang explores in developing his proposed attribution approach, using a constitutionally safe trigger for a tax that is then measured aggressively and in a manner untethered from that trigger.[71]

Start with two bookend cases. First, a conventional securities-transfer tax—say, 1% of the sale price—is a paradigmatic excise within the Article I power and thus constitutional safe.[72] Second, and conversely, most tax experts now agree that the Court has signaled that it would strike down an unapportioned annual levy on net worth, post-*Moore*, by deeming that as a direct tax on property.[73] The Sales-Triggered Wealth Levy occupies the space between these: the trigger is the same market transaction that makes a transfer duty uncontroversial, yet the measure is the same personal-wealth base that makes an annual net-worth levy constitutionally suspect.

The question this hypothetical poses then is whether the Constitution permits Congress to pair a valid excise transaction with a presumptively invalid wealth-based measure. A post-*Moore* theory that cannot explain how the Court would treat the Sales-Triggered Wealth Levy thus fails to supply the boundary principle the *Moore* opinions demand.

A. The Transaction-Centered Approach

Originalists sympathetic to a constitutional realization constraint tend to embrace an anti-circumvention premise—that apportionment is meaningless if Congress can impose an annual tax on ownership simply by styling it as an "excise on the privilege of owning property." Calabresi

[71] Zhang, *supra* note 1, at 997–99.
[72] *Nicol*, 173 U.S. at 519–22.
[73] *See Moore*, 602 U.S. at 599 (Barrett, J., concurring); *Moore*, 602 U.S. at 618–22 (Thomas, J., dissenting); Avi-Yonah, *supra* note 3, at 61.

and Schizer press that premise in its strongest originalist form in post-*Moore* scholarship.[74] They argue that, as the Founding-era categories were understood, "Duties, Imposts and Excises" generally attached to transactional or use-like incidents (manufacture, sale, consumption, and comparable occasions), whereas taxes imposed on persons or property "as such" were the paradigmatic direct taxes.[75] On their account, an annual tax on net worth therefore belongs in the direct-tax box and must be apportioned; it cannot be rescued from apportionment by recharacterizing ownership as a "privilege."[76]

Their approach helps explain why annual net-worth taxes are widely thought to be constitutionally vulnerable in the post-*Moore* era. Their approach also foregrounds what the post-*Moore* Court appears to worry about: courts need a boundary principle that blocks "wealth taxes by relabeling," rather than a semantic debate about whether a particular tax base can be described as "income."[77]

But limiting excises only to transactions is too blunt to work as a synthesis for the post-*Moore* era. The excise cases have long upheld taxes on defined legal statuses and institutional participation, not just on discrete sales or exchanges, and the excise cases have repeatedly permitted value-based measurement. With *Moore* having reaffirmed that income taxes rest on the excise power, the question becomes how to distinguish a genuine excise from a direct tax with an excise label. That requires more than insisting on a "transaction," at least without an accompanying call for overturning key excise tax precedents.

Yet Calabresi and Schizer do not deny these key excise tax cases. Instead, they attempt to harmonize them by treating "transaction" as the common feature of indirect taxes. For instance, they describe *Nicol* as upholding a tax on "engaging in transactions" rather than on "mere ownership," and they read Flint as turning on the "actual doing of business" rather than on corporate status as such.[78] As Calabresi and Schizer themselves acknowledge, however, this requires re-reading *Flint* since that case explicitly rested on a broad "privilege" rationale, not a transaction-based rationale.[79]

That concession is revealing. *Flint* confirms that the Court's excise category has never been confined to discrete market exchanges—the taxable subject was the ongoing privilege of "doing business in a corporate capacity"—yet the Court approved measurement by "net income … from all sources" without treating that choice of measure as a drift toward direct taxation.[80] If an excise can attach to that ongoing status, then a "transaction" limiter cannot do the work Calabresi and Schizer assign to it unless it is expanded to encompass status-based levies as well.

Nor is *Flint* an outlier. Indeed, perhaps the most prominent early excise—the whiskey tax of 1791—was levied per gallon of whiskey distilled, regardless of whether it entered the market or not—distillation alone was sufficient to trigger taxation.[81] Moreover, the Court has repeatedly sustained excises where the taxable subject is not a discrete exchange but a commercial posture of

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[74] Schizer & Calabresi, *supra* note 15.
[75] *Id*.
[76] *Id.* at 1406-07.
[77] *Id.* at 1407.
[78] *Id.* at 1407-08.
[79] *Id.* at 1502.
[80] *See Flint*, 220 U.S. at 151 (upholding tax on 'privilege of doing business in a corporate capacity' measured by net income from all sources).
[81] Act of March 3, 1791, ch. 15, § 15, 1 Stat. 199, 203.

holding for sale or a legally defined shift in the incidents of ownership. In *Patton v. Brady*, the Court upheld as an excise a federal levy imposed on manufactured tobacco that had been removed from the factory and was "held and intended for sale," rejecting the argument that the tax was a direct tax on property requiring apportionment.[82] The Court emphasized that the levy was not imposed on "property as such," but on a particular class of goods with reference to "their origin and their intended use."[83] Likewise, in *Fernandez v. Wiener*, the Court upheld an estate tax measured by the value of an entire Louisiana marital community even though the spouses' interests were "vested," explaining that Congress's death-tax power extends beyond formal transfers to "the creation, exercise, acquisition, or relinquishment of any power or legal privilege" incident to property when occasioned by death, and treating the taxable "occasion" as the "shifting at death of the incidents of property."[84]

Recasting the distinction in "occasion" terms only postpones the hard question. If the occasion can be "holding for sale" or "shifting incidents at death," why can it not be "year-end holding of appreciated publicly traded assets," or even "annual valuation of net worth," the kind of owner-level mark-to-market regime that post-*Moore* commentary expects the Court to treat as a functional wealth tax?[85] The transaction-centered view thus faces a squeeze. Keep "transaction" narrow and it conflicts with the cases; broaden it to save precedent and it loses any internal capacity to distinguish constitutionally adequate excises from pretextual taxes on ownership. At that point the constitutional inquiry is no longer "was there a transaction," but what makes an occasion constitutionally adequate rather than a pretext for taxing wealth.

Calabresi and Schizer might respond that the excise cases we have discussed are distinguishable because they tax genuine institutional participation (corporate form, organized markets, transfer at death) rather than ownership standing alone, and recasting ownership as an "activity" or "privilege" cannot solve the problem because "activities or privileges of ownership cannot be meaningfully distinguished from ownership itself."[86] That reply is partly right. "Privilege" cannot be a wholly malleable label without nullifying apportionment; modern property rights can themselves be described as legally conferred privileges. But it still needs a boundary principle for separating genuine institutional taxes from ownership in costume. A transaction-only test cannot do that work, because Congress can readily manufacture "transaction events." Indeed, as we will discuss further in Part III, *Macomber* provides a canonical example, because a stock dividend distribution is a formal transaction event. Without some additional principle, a transaction-only test collapses into formalism, inviting Congress to attach a wealth-measured liability to some deemed annual "event" and call it an excise.

Our hypothetical Sales-Triggered Wealth Levy puts this analytical pressure in especially sharp relief. In Calabresi and Schizer's framework, a tax is "direct" when it applies "without a

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[82] *Patton v. Brady*, 184 U.S. 608, 616 (1902) (quoting statutory coverage of articles "held and intended for sale"); *id.* at 619 (rejecting the "direct tax upon property" argument and concluding "the tax ... is an excise").

[83] *See Flint*, 220 U.S. at 151-52.

[84] *Fernandez v. Wiener*, 326 U.S. 340, 352 (1945) (Congress may tax not only "transfers at death," but also "the creation, exercise, acquisition, or relinquishment of any power or legal privilege" incident to ownership when occasioned by death); *id.* at 358 (tax is "an excise tax upon the shifting at death of the incidents of property"); *id.* at 361 (rejecting the direct-tax/apportionment objection).

[85] *See Moore*, 602 U.S. at 599 (Barrett, J., concurring); *Moore*, 602 U.S. at 618–22 (Thomas, J., dissenting); Avi-Yonah, *supra* note 3, at 61.

[86] *Patton v. Brady*, 184 U.S. 608, 618-19 (1902).

transaction," and indirect taxes are those "levied on transactions."[87] Because the Sales-Triggered Wealth Levy is triggered only upon a sale of securities, their definition strongly suggests the levy would be classified as an unapportioned excise—even though the taxpayer's net worth, rather than the sale price, supplies the real economic base. However, that classification is in clear tension with the Court's signals in *Moore*. If Congress may constitutionally select any genuine transaction as the trigger and then set liability by reference to net worth, it can effectively reproduce an annual wealth tax for any taxpayer who engages in transactions.

Calabresi and Schizer object to triggers on "activities or 'privileges' of ownership [that] cannot be meaningfully distinguished from ownership itself"—sham privileges that are merely ownership by another name.[88] But the Sales-Triggered Wealth Levy involves neither relabeled ownership nor a manufactured occasion; the sale of securities is a genuine market transaction by any standard. The problem is that even a genuine transaction can serve as a pretext for taxing wealth if the measure bears no relationship to the transaction itself. *Nicol* made precisely this point: a tax that "takes no notice of any kind of privilege or facility, and the fact of a sale is alone regarded" can be "really and practically upon property."[89] The Sales-Triggered Wealth Levy satisfies the first half of Calabresi and Schizer's test (a real transaction) while triggering the concern *Nicol* identified (a measure untethered to that transaction). The Calabresi and Schizer framework cannot resolve the resulting tension because it asks only whether a transaction exists, and the Sales-Triggered Wealth Levy answers that question affirmatively.

Calabresi and Schizer might invoke *Nicol*'s "privilege or facility" language to argue that their framework already contains the necessary limiting principle: a transaction tax must be meaningfully *about* the transaction, not merely timed to it, and the Sales-Triggered Wealth Levy fails that test because net worth bears no relationship to the sale. That response has force, but it concedes the central point. Once "transaction" requires something more than a transactional trigger (that is, once the inquiry turns to whether the measure is tethered to the occasion), the question becomes what tethering requires operationally. *Nicol* does not answer that question, and neither does their account.

As we will explain further in Part III, our proposed framework supplies a principled answer to this question by demanding objective structural boundedness and satisfiability. More generally, we accept Calabresi and Schizer's core premise that *Moore*'s signals demand a jurisprudential test so that apportionment cannot be nullified by strategic relabeling, but we reject their transaction-only limiter as underinclusive and unstable for this purpose.

B. The Broad-Power Approaches

Beyond Calabresi and Schizer's transaction-centered account, post-*Moore* scholarship has mostly offered a family of approaches holding that realization does not provide the key constitutional limit. These broad-power approaches take different doctrinal routes to the same destination: the Sixteenth Amendment's scope, properly understood, encompasses unrealized gains, or Congress's attribution power can bridge the gap between entity-level realization and owner-level liability, or both. Each version has textual and historical support, and some we would

[87] Schizer & Calabresi, *supra* note 15, at 1401-02.

[88] *Id.* at 1450 (warning that "activities or 'privileges' of ownership cannot be meaningfully distinguished from ownership itself").

[89] *Nicol*, 173 U.S. at 521-22.

support as first-best understandings of the Constitution. Yet each also contains the limiting-principle problem that animates the current Court's skepticism, and thus is unlikely to provide a workable path forward after *Moore*.

1. Income-Definition Approaches

One strand of post-*Moore* broad-power scholarship argues that the constitutional meaning of "income" never required realization in the first place. Realization appears nowhere in the Sixteenth Amendment, and *Macomber*'s effort to constitutionalize it through dictionary parsing is historically unsound.[90] We have made this argument explicitly in our past work (prior to *Moore*), for example, and continue to endorse it as the best reading of the relevant history prior to *Macomber*.[91] As we showed, there were many examples of inclusion of unrealized gains in an "income" concept, both for tax and non-tax purposes. For example, Treasury ruled under the Corporation Excise Tax of 1909 that "an appreciation in the value of securities owned by you but not disposed of [and] taken into account of by you in a book entry, … should be accounted for as gross income."[92] While the language here is plain, the *Moore* Court nonetheless seems inclined to overlook it, perhaps by arguing that the Sixteenth Amendment somehow changed the nature of income taxation.

We are not alone in our reading of history. For example, Wallace and Wells draw on accounting history to argue that the 1913 understanding of "income" was not limited to cash receipts or severed gains.[93] Instead, income was understood as a flow over time, and standard accounting methods of the era routinely included accrued but unrealized amounts.[94] On their account, realization is merely one timing convention among many, and the constitutional boundary is supplied not by realization but by *tax basis*. Basis tracking ensures that the same economic gain is taxed only once and prevents the income tax from "morphing into" an annual tax on capital.[95] However, if basis does the limiting work, mark-to-market proposals like those from the Biden administration and the Harris campaign would be constitutional, which implies that the current Court majority has signaled that it would reject this approach.[96]

The problem extends beyond the current Court's likely rejection. The Wallace and Wells view also shares a structural limitation that parallels the transaction-centered account's flaw. *Moore* reaffirmed that taxes on incomes rest on Article I's power to impose "Duties, Imposts and Excises."[97] Yet the Wallace and Wells broad-power approach is based on parsing the definition of income. This is because basis tracking answers an income-measurement question (preventing double taxation of the same economic gain) rather than an Article I question about what makes a tax "direct."

Moore matters here because it forecloses treating "income" as a self-contained Sixteenth Amendment category immune from Article I limits. A theory that answers only the internal measurement question (by insisting, for example, that basis adjustments prevent double taxation)

[90] Schizer & Calabresi, *supra* note 15, at 1407.

[91] Brooks & Gamage, *supra* note 1, at 41–63.

[92] T.D. 1706, 14 Treas. Dec. Int. Rev. 75, 75 (1911). For other rulings and related materials, *see* Brooks & Gamage, *supra* note 1, at 44–46.

[93] *Cf. Macomber*, 252 U.S. at 207-08.

[94] *See Macomber*, 252 U.S. at 207-08.

[95] See Clint Wallace & Bret Wells, *The Past and Future of Taxing "Incomes,"* 104 N.C. L. REV. 1, 2 (2025).

[96] See notes 63-66 and accompanying text *supra*.

[97] Schizer & Calabresi, *supra* note 15, at 1407.

therefore still owes an account of what keeps a value-measured levy from functioning as an unapportioned (non-income) excise tax on ownership itself. Even if basis prevents double *income* taxation of the same gain, it does not prevent Congress from excising an "event" that does no independent work and then measuring liability by wealth.

Wallace and Wells might reasonably respond that their project addresses what counts as income under the Sixteenth Amendment,[98] not what counts as a valid excise under Article I, and that the Sales-Triggered Wealth Levy, which would be defended as an excise on a sale rather than as an income tax, thus falls outside their scope. That response is fair as far as it goes, yet *Moore* forces the additional question their project does not attempt to answer. The Sales-Triggered Wealth Levy makes this concrete, because it is designed to be defended as an Article I excise on a sale, not as a Sixteenth Amendment tax on income. Whether basis adjustments are available thus says nothing about whether the levy is direct or indirect under Article I's taxonomy.

2. The Attribution Alternative

A separate strand of broad-power scholarship locates Congress's authority not in the scope of "income" but in the power to attribute realized gains across entities and owners. Zhang's account of the "forgotten income-attribution power" is the most developed version of this argument.[99] On his view, Congress has broad authority to determine who bears tax liability on realized income, and the key constitutional limiter is due process non-arbitrariness rather than the Direct Tax Clauses. Zhang's own synthesis makes clear that this due-process backstop is set at a low threshold (rationality is "not a stringent requirement," violated only at the "wholly arbitrary" extreme), while the remaining due-process limits (non-adverse interests and proportionality) are necessarily open-textured.[100]

Attribution doctrine can explain why partnership and some anti-deferral regimes can survive without owner-level realization.[101] Congress may choose whether to tax at the entity level or to treat the entity as a pass-through, and *Moore* itself relied heavily on this logic.[102] The *Moore* majority emphasized that the Moores' foreign corporation had realized income and that Congress permissibly attributed that income to them as shareholders.[103] Zhang reads *Moore* as validating a broad attribution power that can bridge gaps between entity-level realization and owner-level liability whenever Congress determines that doing so serves legitimate tax-collection purposes.[104]

This attribution approach differs from the income-definition approaches in its doctrinal source. Where Wallace and Wells base their account on the meaning of "income" under the Sixteenth Amendment, Zhang instead treats "income" as potentially narrow but nevertheless argues that Congress can reach the same results through attribution of whatever income does get realized

[98] Or, alternatively, they might defend their positions as a matter of statutory interpretation based on what Congress may have intended in taxing "income." Indeed, many of the early cases about the meaning of "income" were statutory, not constitutional, interpretation cases.

[99] Wallace & Wells, *supra* note 88, at 1.

[100] Zhang distills three Fifth Amendment limits—rationality, non-adverse interests, and proportionality—and emphasizes that "rationality" is "not a stringent requirement," violated only where attribution is "wholly arbitrary." Zhang, *supra* note 1, at 987, 989.

[101] *Id.* at 936.

[102] *Id.* at 936-37.

[103] Moore, 602 U.S. at 584.

[104] *Id.* at 585–87.

somewhere in the economic chain.[105] In drafting and litigation, both routes could be invoked to defend regimes that are functionally equivalent to comprehensive mark-to-market taxation, like the billionaire income tax reform proposal forwarded by the Biden administration.[106] Zhang, however, expressly brackets the separate question whether the Constitution permits the uniform taxation of unrealized income as such.[107]

Nevertheless, Zhang pushes the attribution logic much further than what the *Moore* decision articulates. He argues that Congress might approximate a wealth tax while formally taxing only realized income, for example by attributing realized entity income to owners but varying rates or bases by reference to owners' unrealized appreciation or net worth.[108] If "attribution" can do that much work, and if due process non-arbitrariness (with its low "wholly arbitrary" floor) is the only articulated backstop, then the Direct Tax Clauses would impose no meaningful limit on Congress's ability to reach accumulated wealth through creative statutory design.

To his credit, Zhang presents this move as exploratory rather than guaranteed; he notes that such a regime would invite a substance-over-form objection, that it is, in practical effect, an accrual or wealth tax.[109] He also flags a mechanical problem: if realized entity income is the formal hook while wealth-like magnitudes do the targeting work, the implied rates can become extreme (even exceeding 100%) when realization is small relative to appreciation or net worth.[110]

Those concessions underscore why our theory of the taxing power is needed post-*Moore*. Due process is just one constitutional constraint on attribution. The Direct Tax Clauses impose another. As we explained at the outset, most experts now agree that *Moore* signals the Court would strike down proposals for unapportioned general wealth or billionaire mark-to-market taxes. Zhang treats attribution's limiting principle as sounding in due process rather than the Direct Tax Clauses. That leaves unresolved the structural boundary *Moore* implied. Attribution doctrine explains who may be charged when income is realized somewhere in the economic chain. It does not on its own supply the principle for deciding when a wealth-calibrated measure converts a valid excise into a direct tax requiring apportionment. As we will explain in Part III, our proposed Base-Tether framework answers that question.

The Sales-Triggered Wealth Levy serves as a useful mirror to Zhang's proposed wealth-emulation designs. Zhang suggests that Congress might replicate the economic effects of accrual or wealth taxation by taxing only realized corporate income (attributed to shareholders) while adjusting the effective rate by reference to the shareholder's appreciation or property value.[111] The Sales-Triggered Wealth Levy uses the same structural logic—permissible hook plus wealth metric—but substitutes a sale transaction for attributed corporate earnings as the formal trigger. If due process non-arbitrariness is the only backstop, the Sales-Triggered Wealth Levy might seem easy to defend: using net worth to scale tax burdens is not "wholly arbitrary" in the due-process sense, and the taxpayer's relationship to their own wealth is transparent. Yet that conclusion would

[105] Wallace & Wells, *supra* note 88, at 2.
[106] Zhang, *supra* note 1, at 929, 931.
[107] *Id.*
[108] *Id.* at 997–99.
[109] *Id.* at 1001–02.
[110] *Id.* at 1002.
[111] *Id.* at 997–99.

largely drain the Direct Tax Clauses of force for any wealth levy that can be attached to some transaction, even if the transaction bears no meaningful connection to the liability measure.

Thus, with respect to the goal of developing a theory that accords with the signals from *Moore*, that the current Court would thus be likely to accept, the key problem for Zhang's attribution approach is that it operates in effect as a one-way ratchet. It explains why Congress *can* attribute income broadly, but it does not supply a principle for when attribution crosses into forbidden territory that the current Court would be likely to strike down as going too far. Due process non-arbitrariness is too open-textured to provide ex-ante drafting guidance, and it does not speak to the direct/indirect tax distinction that *Moore*'s separate opinions treated as constitutionally critical.[112] A Court that is determined to preserve some constitutional limit on unapportioned taxation of wealth will not find comfort in a theory whose logical endpoint is that Congress can reach any wealth-like base through sufficiently creative attribution rules.[113]

Indeed, the cases Zhang relies on, properly read, support a more limited principle. *Burk-Waggoner Oil Ass'n v. Hopkins* establishes that Congress may choose where within an economic arrangement to locate tax liability—entity or member level—without state-law formalities controlling, but it still relied on the fact that the income accrued to the *benefit* of the members. The Court emphasized that the tax applied to "income earned in the name of the Association" and spoke of "the income of the joint enterprise."[114] Similarly, the trust cases Zhang examines operationalize due process through ownership-like attributes, including "actual command" over the property taxed and retained powers that make the grantor functionally the owner.[115] These cases establish that Congress may attribute income to parties with genuine economic connections to the underlying source—the mere existence of income is not alone sufficient to allow attribution. But what is sufficient? Zhang shows that attribution is an available tool Congress can use, but his framework leaves the question of its structural limits unanswered.

However, rejecting Zhang's broadest claims does not require rejecting attribution doctrine altogether. The *Moore* majority's emphasis on entity-level realization points toward a more productive synthesis. Attribution can serve as a valid mechanism for satisfying the constitutional constraints on taxation when it operates within structural limits. Specifically, when Congress attributes to owners only income that has been realized at the entity level, and when the resulting liability remains bounded by that attributed income rather than calibrated by the owner's external wealth or unrealized appreciation, then attribution functions as a tether rather than a detachment device. And the ownership relationship strengthens the tether—the attribution is based in a real economic relationship between the taxpayer and the base. Part III develops this insight by treating attribution as one of several mechanisms through which Congress can satisfy the anti-detachment constraint. The key question is whether the attribution keeps liability bounded to a genuine base or instead uses a thin stream of entity income as pretext for reaching unrelated wealth. Attribution doctrine answers a burden-allocation question, specifically who may be charged with a tax on income realized somewhere in the economic chain. It does not supply the distinct boundary

[112] See *Moore*, 602 U.S. at 640 (Thomas, J., dissenting) (describing how the Sixteenth Amendment "preserved the federalism function inherent in the distinction between direct and indirect taxes"); *id.* at 609–12 (Barrett, J., concurring in the judgment) (emphasizing realization as constitutionally required).

[113] *See* notes 63-66 and accompanying text *supra*.

[114] *Burk-Waggoner Oil Ass'n v. Hopkins*, 269 U.S. 110, 114 (1925).

[115] *Corliss v. Bowers*, 281 U.S. 376, 378 (1930); Zhang, supra note 1, at 959–65.

principle needed to decide when the statutory measure has severed from the attributed base and become a tax on wealth as such.[116]

C. The Need for a New Theory

Taken together, the leading post-*Moore* accounts at least arguably solve the breadth problem, but they do not solve the boundary problem. Calabresi and Schizer preserve a sharp direct-tax limit by insisting that indirect taxes must attach to "transactions," but the settled excise cases they accept force "transaction" to expand into something closer to an "occasion" test that includes status, privilege, and legally defined shifts in the incidents of ownership. Once "transaction" is doing that work, it no longer supplies a sufficiently workable principle for separating constitutionally adequate excises from nominal hooks for taxing mere ownership.

Wallace and Wells, by contrast, defend institutional flexibility by redefining or elaborating what counts as "income" and by emphasizing basis adjustments as the guardrail against duplicative taxation. But *Moore*'s reaffirmation that income taxes fall within the Article I category of "duties, imposts, and excises" means that an income definition cannot be a complete constitutional answer. Plus, the Wallace and Wells approach would bless the billionaire income tax mark-to-market reform proposals that expert commentary predicts would be struck down. The Wallace and Wells account thus fails as an interpretative synthesis capable of providing guidance based on *Moore*'s signals.

Zhang's attribution account expands congressional capacity, but in a direction that leaves the direct/indirect tax boundary uncertain. His framework explains why Congress *may* attribute income broadly; it does not supply a principle for identifying when attribution-based designs cross into territory that *Moore* suggests the current Court would strike down. Our proposed framework fills that gap. It treats attribution (though a more constrained form of attribution than Zhang argues for) as a valid mechanism for satisfying constitutional constraints when the attributed income is realized at the entity level and the resulting liability remains bounded to that base. But it treats attribution combined with wealth-calibrated rates or measures as presumptively failing the same anti-detachment constraint that invalidates transaction-triggered wealth levies. The question in both settings is whether the statutory design keeps liability tethered to its asserted base or instead uses that base as pretext for reaching wealth as such.

Part III therefore offers a structural synthesis aimed at the question *Moore* leaves open: what distinguishes a genuine excise from a wealth tax dressed in excise clothing? The answer, we argue, lies in operational design rather than in competing definitions of "income" or in the outer boundaries of attribution doctrine.

III. THE BASE-TETHER FRAMEWORK

Moore has left the federal taxing power in a state of tension. On one hand, the Court has presumptively revived *Macomber*'s intuition that some form of constitutional realization requirement limits Congress, signaling that taxes on unrealized appreciation remain

[116] See Zhang, *supra* note 1, at 991–92 (explaining that "the inquiry into the taxpayer's relationship with the taxable income sounds in due process, not in the Direct Tax Clauses" and that attribution addresses who may be taxed on realized income, not the boundary between income and wealth taxation).

constitutionally suspect.[117] On the other, the majority has expressly reaffirmed that income taxes rest on the Article I excise power, a power that has historically supported taxes measured by value without apportionment.[118] This collision creates the foundational puzzle that this Article aims to answer. If income taxes are excises, and excises can be measured by value, how can a realization requirement exist without swallowing the excise power whole? Or, alternatively, how can realization operate as a substantive constraint to wealth taxation that the Court appears to think it would, if any transaction or attribution can set loose the full range of Congress's taxing power?

This Part offers our theory of the taxing power for this new era. We argue that the post-*Moore* boundary is operational, not definitional. In other words, the constitutional defect in *Macomber* was not that the tax targeted "unrealized" value in the abstract, but that the tax lacked a structural tether to the transaction it claimed to tax. The framework developed here, which we call the Base-Tether framework, reconciles the Court's competing commitments by translating the realization intuition into a design constraint. It replaces the metaphysical search for the definition of "income" with a two-step structural inquiry.

The first question is classificatory: Has Congress identified a valid excise subject—a transaction, activity, or institutional participation—distinct from ownership "as such"? Precedent has treated this category expansively, but recurring features in the cases help distinguish genuine excises from relabeled direct taxes. The key distinction, as we develop below, is between taxes on the baseline protection of property rights (title, contract enforcement, the right to exclude) and taxes on the use of *distinct legal machinery* (including transacting in that property) that amplifies the utility or value of that property. Corporate charters, exchange infrastructure, and clearinghouse systems provide benefits beyond what common-law ownership affords. Taxing participation in these regimes targets something narrower than ownership itself.

The second question is this Article's central new contribution: Even when a levy is assessed on a valid excise subject, does the statute's design keep the resulting liability tethered to that base, or does it float free into a personal obligation that functions like a direct tax? We argue that a value-measured tax is defensible as an excise when the liability is bounded to, and satisfiable from, the taxable incident. The liability must be computed as a function of the value of the transaction or activity Congress has identified as the taxable subject, rather than by wealth outside that base, and the statutory design must permit satisfaction from that base without systematically requiring liquidation of unrelated assets.

This two-step framework finds support in the historical record. The "strict severance" view—holding that any taxation of unrealized value is constitutionally suspect—sits uneasily with longstanding practice. For instance, the Civil War income tax acts taxed the "increased value of live stock" held by farmers and "accruing" profits of construction companies before completion.[119] The 1894 Act taxed interest "whether paid or not."[120] Early Treasury rulings under the Corporation Excise Tax of 1909 stated that unrealized gain in capital assets, including the value of securities,

[117] Zhang, *supra* note 1, at 950; Andy Grewal, Moore *Decides Less*, TaxProf Blog (June 26, 2024) (*Moore* "confirmed that Eisner v. Macomber...is not dead").

[118] See *Nicol*, 173 U.S. at 519–22; *Flint*, 220 U.S. at 162–63; *Knowlton*, 178 U.S. at 80–82; *Bromley v. McCaughn*, 280 U.S. 124, 136–38 (1929).

[119] Zhang, *supra* note 1, at 950; Brooks & Gamage, *supra* note 1, at 44–45.

[120] Act of Aug. 27, 1894, ch. 349, § 28, 28 Stat. 509, 554 (1894) (taxing interest "received or accrued . . . whether paid or not").

"should be accounted for in gross income."[121] These provisions were enacted and administered as part of federal income taxation without being treated as requiring apportionment. They reflect an accepted understanding that Congress may measure taxes by accrued value when tied to identifiable activities. The constitutional concern should thus center on the absence of any activity or institutional incident to anchor the levy, rather than value measurement as such.

This reading also fits a long tradition of presumptive measurement. Congress has repeatedly used proxies and presumptions to measure the value of taxable privileges, and courts have generally treated the choice of measure as a legislative judgment so long as the tax had an identifiable subject within the excise category.[122] Many early federal levies that the Court described as excises were assessed with rough proxies rather than individualized measures of net gain. The carriage tax in *Hylton* used ownership of a particular kind of property as a proxy for consumption of a privilege-like amenity. The License Tax Cases upheld occupational taxes calibrated to lines of business rather than to net gain.[123] The Court did not treat the use of a proxy as transforming an otherwise permissible excise into a prohibited direct tax. The constitutional line was drawn at the level of the tax's subject and structural incidence, not at whether Congress had measured "true" income or "true" wealth.

The remainder of this Part develops each step and shows how the framework reconciles the excise cases with *Macomber* and *Moore*'s signals. Yet a reminder about our posture is first warranted. Our project here is interpretive. We aim to synthesize the signals from *Moore* into a theory that can predictably guide future cases and drafting. We have offered a somewhat different account previously,[124] and we will return again in Part IV to explain further how the new theory we present here differs from our prior account, especially in regard to analyzing wealth taxes and proposed Billionaire Income Tax reforms. For now, we reiterate that we do not disavow our prior account as to pre-*Moore* caselaw and the history, structure, and text of the Constitution and continue to believe that fully overruling *Macomber* is a better outcome. However, we offer this new theory because post-*Moore* jurisprudence requires a synthetic predictive framework that can function without further damaging Congress's taxing power, and we believe the one we offer here best captures where the Court is heading.

A. Step 1: The Excise Subject

Step 1 asks whether the levy targets a distinct legal capacity to engage in a defined activity, transaction, or institution rather than the mere fact of owning property. The classic excise cases sustained taxes on, among other things, using a board of trade, on doing business in corporate form, and on transferring property at death.[125] In each instance, the Court identified a specific legal capacity that taxpayers could enter or exit, a relationship distinct from bare ownership.

A skeptic might contend that *all* property rights are "privileges" granted by the state, and therefore any tax could be styled as an excise on "state-protected ownership." While we are sympathetic to the philosophical theory that property ownership relies on state protection, as a

[121] T.D. 1706, 14 Treas. Dec. Int. Rev. 75, 75 (1911); Brooks & Gamage, *supra* note 1, at 44–45.

[122] For general discussion of presumptive taxation, *see, e.g.,* Shlomo Yitzhaki, *Cost-Benefit Analysis of Presumptive Taxation,* 63 FINANZARCHIV 311 (2007).

[123] *See Hylton v. United States*, 3 U.S. (3 Dall.) 171 (1796) (upholding carriage tax as excise); License Tax Cases, 72 U.S. (5 Wall.) 462 (1867) (upholding occupational license taxes).

[124] Brooks & Gamage, *Reconsidered*, *supra* note 12, at 82–86, 126–33.

[125] See *Nicol*, 173 U.S. at 519–22; Flint, 220 U.S. at 162–63; *Knowlton*, 178 U.S. at 80–82.

matter of tax doctrine we reject that view. If the mere existence of state-enforced title were sufficient to create an excise, the Direct Tax Clauses would be nullities. A tax on land—the quintessential direct tax—relies on state title systems, yet it remains a direct tax on ownership. The excise tradition instead distinguishes between the *baseline protection* of property rights (title, contract enforcement, the right to exclude) and the use of *distinct legal machinery* that amplifies the utility or value of that property beyond what common-law ownership affords.[126]

The canonical cases illustrate this distinction. In *Flint v. Stone Tracy Co.*, the Court upheld a tax on doing business in corporate form, emphasizing that the levy fell on the "distinctive privileges" of incorporation—limited liability, perpetual existence, and centralized management—which the state "bestowed" beyond common-law ownership.[127] In *Nicol v. Ames*, the Court sustained a tax on transactions through a board of trade, stressing that the tax targeted the "facilities" the exchange provided—price discovery, centralized clearing, standardized contracts—rather than ownership of the underlying commodities.[128] Both decisions turned on identifying legal machinery that went beyond the baseline incidents of ownership.

From these and other cases, three recurring features help operationalize the distinction between taxes on ownership and taxes on institutional participation. The first is *non-universality* with respect to the underlying property right. The second is meaningful *entry or exit conditions*. The third is *institutional boundedness*.

These features often travel together, but they are analytically distinct. Entry and exit conditions speak to voluntariness; institutional boundedness speaks to structure. All three are recurring indicators that help operationalize the excise subject inquiry, not elements that must all be present in every valid excise. By institutional boundedness we do not mean the general fact that state law defines property. We mean optional, rule-governed participation in administratively distinct systems, typically with intermediaries, that are not coextensive with ownership.

A clarification is important here. Non-universality refers to the *taxable incident*, not the number of taxpayers captured. A tax applying only to billionaires is still universal with respect to ownership if it attaches to *anyone* who owns assets above a threshold; the narrowness of the class does not supply the entry/exit or institutional-boundedness features that characterize genuine excises. By contrast, a tax on transactions through a board of trade is non-universal because taxpayers can choose whether to use that facility. The key distinction is between taxes on owning property and taxes on transactions or activities. A tax on owning real estate is a direct tax; a tax on transferring real estate is an excise.[129] What counts as an "activity" is the harder question; it cannot be mere ownership or something functionally equivalent. Using a specific legal form or market facility counts as an activity under *Flint* and *Nicol* because participation in these legal structures is equivalent to engaging in a defined set of transactions with the underlying property.[130] The key

[126] There may of course be disputes about exactly where this line is drawn and what exact bundle of rights is considered baseline, but that line-drawing is to be expected—indeed, property law itself is not immune.

[127] *Flint*, 220 U.S. at 151 (distinguishing taxes on property "solely by reason of its ownership" from excises on "the particular privilege of doing business in a corporate capacity").

[128] *Nicol*, 173 U.S. at 519–21 (upholding tax on use of board of trade facilities, emphasizing that the tax fell on the "facilities" provided rather than on ownership of the commodities traded).

[129] *Cf. Bromley*, 280 U.S. at 136–38 (treating gift tax as excise on transfer); *Knowlton*, 178 U.S. at 81–82 (inheritance tax as excise on transmission).

[130] The case law confirms that accessing a distinct legal regime supplies a valid excise subject even when economic value remains unchanged. In *Marr v. United States*, the Court held that reincorporating a business in a new state created a distinct taxable interest because the shareholder gained rights under a different legal charter, rejecting

point is that Step 1 screens for non-coextensiveness with ownership as such, not for clever statutory labels. Congress cannot transform a wealth tax into an excise simply by calling ownership a "privilege"; the institutional or transactional subject must do real differentiating work.

A short taxonomy makes Step 1 more concrete. The excise cases repeatedly sustain taxes attached to legally salient institutions or events that taxpayers can enter or exit and that are not coextensive with ownership. Without claiming to exhaust the field, three recurring categories illustrate the "safe" Step 1 subjects that appear in the cases and the modern Code. These categories are derived from patterns in the precedents rather than being intended as a closed or complete list.

Transaction or status-change events. Taxes on transferring property or changing beneficial ownership (sale, gift, bequest) fall within the classic domain of duties and excises, including the estate and gift taxes.[131] Taxes keyed to an objectively defined change in legal status, such as expatriation, operate on similar logic. The change in legal status is itself the taxable subject. Income taxes themselves largely fit into this category, since the vast majority of accessions to wealth involve the transfer or acquisition of money or property.

Market or instrument participation. Taxes keyed to use of a defined market facility or trading infrastructure (exchanges, boards of trade, clearing and custody systems) target access to the institutional platform rather than ownership of the underlying asset. Taxes measured by returns built into specific financial instruments, such as original issue discount on bonds, operate through similar institutional logic.

Entity-form privilege or attribution regimes. Corporate and trust forms can supply institutional collection points where the entity itself bears and pays the tax. Pass-through regimes such as partnerships and S corporations, and anti-deferral attribution regimes such as Subpart F and PFIC's QEF election, use a different mechanism, attributing realized entity income to owners while keeping liability bounded to what the entity has actually earned. Both subcategories work through entity structures to prevent liability from floating free as personal debt against unrelated wealth.

Step 1 operates as a genuine gatekeeper. Some proposed "privileges" are ownership in costume. A tax on "the privilege of holding property" or "the privilege of sustaining wealth" cannot be saved by clever collection design. If the asserted subject is universal with respect to ownership and lacks the indicia that recur in the excise cases, the levy should fail at the threshold regardless of how the statute structures payment. As statutory breadth increases, the Step 1 inquiry becomes harder, and courts will face a continuum of constitutional risk rather than a bright line.

B. Step 2: Tethering Liability to the Base

Step 2 is the operational check on the excise subject. If Step 1 asks "What is being taxed?", then Step 2 asks "How is it being taxed?" This second step provides the anti-circumvention constraint. In this framework, "realization" is best understood as just one way—though often the most familiar way—of satisfying Step 2's anti-detachment demand, and not as an independent

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the argument that the tax fell on the same continuing capital. 268 U.S. 536, 540–41 (1925). *United States v. Phellis* supports the same principle: the Court treated a corporate reorganization as creating "essentially different" rights and powers, sufficient to constitute a taxable event. 257 U.S. 156, 172–73 (1921).

[131] We acknowledge the succession at death puts some pressure on our distinction between mere holding of property vs. taking distinct steps to amplify value—since the mere holding of property by the decedent is no longer a choice. However, transfers of property (of any kind) are at the core of the set of events subject to excise taxation. Moreover, a decedent does exercise choice and could allow the property to escheat to the state.

constitutional litmus test. If Step 1 were the only requirement, Congress could identify a valid transaction, such as the receipt of a corporate charter or the use of a public exchange, and use it as a pretext to impose a liability measured by the taxpayer's total global wealth. Therefore, to prevent the excise power from swallowing the Direct Tax Clauses through simple relabeling, there must be a structural consistency between the asserted subject and the resulting liability.

The answer lies in what we call *tethering*. For purposes of this inquiry, "the base" refers to the specific transaction, activity, or institutional account that Step 1 identifies as the excise subject. The statute's design must keep liability bounded to, and satisfiable from, that base. The logic of the excise cases assumes that the measure of the tax tracks the subject. In *Flint*, the Court upheld a tax on the privilege of doing business—earning income—in corporate form. The liability was measured by corporate income and collected from the corporation itself; the burden fell on the specific institutional base Congress claimed to be taxing. Consider what would happen if Congress had taxed the corporate privilege but measured the liability by the shareholder's personal real estate holdings. The "privilege" label would have been exposed as a fiction, and the tax would have been operationally detached from its subject.

To make this operational, we propose the *payability standard* as the surest objective test of the required connection. A tax is tethered when the base itself, or the institutional node holding it, bears the tax burden.[132] Detachment from the base tends to manifest in two ways: the liability may be measured by wealth outside the asserted base (measurement detachment), or the statutory design may predictably force payment from unrelated assets (payment detachment). These are complementary aspects of a single structural inquiry, not independent elements of a checklist test. As *Knowlton* and *Fernandez* confirm, measuring an excise by the value of property subject to the taxed privilege does not convert it into a direct tax.[133] The "*machinery*" that creates the privilege must also supply the means to pay the tax.

This standard has modern analogues that make the constitutional point vivid. The income tax is full of administrable proxies and timing rules that treat access to value as the functional equivalent of receipt. The doctrine of constructive receipt is the most familiar example. When a taxpayer can draw cash at will, the Code taxes that capacity even if the taxpayer chooses not to take the distribution.[134] Similarly, when a legal or market structure gives the taxpayer a realistically achievable path to extract value from the taxed base (e.g., selling into a liquid market or receiving an entity-level distribution), Congress may treat that capacity as the taxable incident even without a voluntary sale. The payability standard captures this functional logic. What matters is whether the statutory design creates a realistic path from the taxed base to the tax payment.

Return to the Sales-Triggered Wealth Levy introduced in Part II. The levy attaches to a genuine sale, so it satisfies Step 1. But its liability is measured by global net worth rather than by the value of the transaction, which violates boundedness in measurement. And because the resulting tax burden may exceed the sale proceeds many times over, the taxpayer could predictably satisfy the obligation only by liquidating assets unconnected to the sale. That is the structural pattern of detachment that Step 2 is designed to identify. Contrast this to the estate tax, where the subject of

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[132] But note that we do not mean this in the sense of economic incidence, but rather just in the sense of nominal legal incidence.

[133] See *Knowlton*, 178 U.S. 41; *Fernandez v. Wiener*, 326 U.S. 340, 352 (1945) (rejecting the argument that measuring an estate tax by property value converts it into a direct tax, and citing *Bromley*, 280 U.S. 124, for the same proposition regarding gift taxes).

[134] *See* Treas. Reg. § 1.451-2 (constructive receipt doctrine).

the tax is the full estate transferred by the decedent, and any liability can be thus satisfied from the full estate without constitutional objection.

This analysis reframes the place of realization in constitutional tax law. Classic realization events (cash receipts, sale proceeds, severed distributions) are not metaphysically required. They are just the historically dominant design for satisfying the Constitution's structural demand that liability remain bounded to and payable from what the statute purports to tax. Realization is a paradigmatic way to satisfy Step 2 because a disposition converts the base into taxpaying capacity at the moment liability attaches. But Step 2 captures that structural function rather than the formal label, and it therefore encompasses other monetization and access channels that similarly make the asserted base self-funding. As we will discuss further below, *Macomber*'s familiar "separate use, benefit and disposal" formulation is thus best read as describing that satisfiability logic, not as announcing a freestanding veto over every regime that departs from conventional realization timing.[135]

Moore's reaffirmation that income taxes operate within Article I's regime of "duties, imposts, and excises" underscores the point. The constitutional question cannot just be "realization yes/no," but rather must ask whether Congress has maintained an operational tether that prevents a value-measured levy from functioning as a tax on ownership as such.[136]

Yet Step 2 cannot do the constitutional work alone. Consider a property tax secured by a lien on the taxed land. The lien provides a base-linked enforcement mechanism, yet no one would call the tax an excise. The defect here lies in Step 1, because the subject is ownership rather than a transaction or activity. Accordingly, tethering becomes constitutionally relevant only after Step 1 is satisfied, because it then performs the anti-circumvention function of ensuring that Congress cannot convert a wealth tax into an excise simply by triggering it on some nominal transaction. The next subsection organizes the principal mechanisms through which existing law satisfies these requirements.

C. Outlining a Typology of Excises and the Mechanisms for their Tethering

The anti-detachment constraint can be satisfied through several distinct mechanisms, each with different structural features and different implications for statutory design. Understanding these mechanisms clarifies when collection architecture is constitutionally significant and when it is merely a matter of legislative grace. This Section outlines a typology of excise categories and their mechanisms for tethering. Part IV will then analyze the applications to many of the tax provisions and reform proposals considered constitutionally vulnerable in the post-*Moore* era. This Section notes many of the key applications for outlining purposes, with the full discussions and explanations coming later in Part IV.

Three recurring patterns emerge from the precedents and the modern Code, each encompassing related subcategories. The first pattern is the *transaction or status-change tether*. This pattern includes two subcategories united by a common structural feature, namely a discrete triggering event that inherently identifies assets from which payment can flow. Transaction tethers arise when a tax is triggered by a voluntary exchange such as a sale or gift. Status-change tethers arise when

[135] *Macomber*, 252 U.S. at 207 (stating that income must be "severed from the capital" and "received or drawn" for the taxpayer's "separate use, benefit and disposal").

[136] *Moore*, 602 U.S. at 583–84 (reaffirming that income taxes are "indirect taxes" within Congress's power to lay "duties, imposts, and excises").

a tax is triggered by a change in legal status such as death, expatriation, or corporate reorganization. In both subcategories, the liability is measured by the value that the transaction or status change applies to, so the tether is built into the event itself. The estate tax illustrates this pattern. Death is the triggering event, and the tax is measured by the value of estate assets. The same logic applies to the gift tax, to realization-based capital gains taxation, and to the expatriation exit tax. No special collection architecture is constitutionally required because the transaction or status change inherently identifies assets from which payment can flow. Congress may add collection mechanisms such as deferral elections, security requirements, or withholding rules, but these are matters of legislative grace for improving administrability or taxpayer equity. They are not constitutional requirements.

The second pattern is the *market or instrument tether*. Certain financial markets and instruments provide continuous access to value through pricing, settlement, and liquidity mechanisms that make appreciation practically reachable even without a voluntary sale; the markets provide access to benefits that would otherwise normally require sale, encumbrance, or similar transactions. Section 1256 mark-to-market taxation of regulated futures contracts illustrates the market side of this pattern. In futures markets, gains and losses are routinely settled through the exchange's clearing system, so appreciation is continuously monetized in a way that makes year-end mark-to-market taxation practically payable. Because the market structure itself converts appreciation into accessible value on an ongoing basis, the tax remains tethered even without a realization event in the traditional sense.

The third pattern is the *entity-level liability or attribution tether*. This pattern also includes two subcategories, both of which work through entity structures to keep liability bounded to an identified institutional base rather than floating free as personal debt. The first subcategory is entity-level liability. When the taxpayer is the entity itself and the entity pays the tax from entity assets, liability cannot float free as a personal debt against shareholders. Corporate taxation is the paradigmatic example, including the pre-Sixteenth Amendment corporate excise tax upheld in *Flint*. The corporation earns income through its operations, owes tax on that income, and pays from corporate assets. The second subcategory is attribution of entity income. Partnership taxation, S corporation taxation, and the anti-deferral regimes for controlled foreign corporations (Subpart F) and passive foreign investment companies (PFIC's QEF election) all attribute entity-level income to owners. *Moore* blessed this mechanism by emphasizing that the taxed income was "realized by" the foreign corporation and then attributed to shareholders. The constitutional key is that income must be earned at the entity level before attribution occurs. Attribution determines who bears the tax; testing for income at the entity level ensures there is something concrete to attribute.[137]

The upshot of the foregoing analysis, including the tether taxonomy just developed, is a framework that is doctrinally disciplined and practically usable. What matters is operational design, specifically whether Congress designs the levy to keep liability bounded to and satisfiable from the base or instead imposes a stand-alone obligation keyed to ownership. The next Section shows how *Macomber* exemplifies this failure pattern and why the Court's anti-detachment

[137] In *Moore* this was simplified because the income was not only earned but *realized* at the entity level; all that was needed was attribution. But in other cases, these patterns could be combined—for example, a trading firm could potentially have mark-to-market income based on the *market and instrument tether* that could potentially then be attributed to the firm's owners by the *attribution tether*.

instinct, properly understood, does not require realization as the sole mechanism for satisfying Step 2.

D. Macomber *and the Problem of Detachment*

Eisner v. Macomber remains the principal precedent invoked for a constitutional "realization" or "severance" constraint, and *Moore*'s opinions ensure it will continue to feature prominently in post-*Moore* litigation. As we have explained in prior work, the decision is a flawed and poorly reasoned opinion, arguably wrongly decided, and that makes notable factual and legal errors.[138] Regardless, because subsequent Court decisions have narrowed and reinterpreted *Macomber*, the key question for our purposes is what the precedent stands for today, in the post-*Moore* era.

We argue that the best reading of *Macomber* and its remaining precedential vitality is structural rather than definitional. The decision functions as an anti-circumvention warning. Congress may not attach an unapportioned tax to a nominal corporate "event" and then use that event as a pretext to measure and collect what is functionally a tax on ownership itself. In our terms, *Macomber* is a negative case about detachment, about an asserted excise base that fails to do sufficient work to justify the tax measure. Evaluating *Macomber* through the Base-Tether framework requires analyzing it under each tether category, because the evaluation depends on how the tax is analyzed and defended.

Transaction or status-change tether. If the tax in *Macomber* is evaluated as a transaction or status-change excise, it fails at Step 1. A pro rata, same-class stock dividend does not change the shareholder's interests in any legally cognizable way. It does not alter proportional ownership, does not change the character of the shareholder's stake, and does not create any new entitlement distinct from the shareholder's continuing position.[139] The reorganization and stock-rights cases treat a change in legally distinct entitlements as the marker of a constitutionally significant event.[140] A corporate reorganization that gives the shareholder rights under a different legal charter, for example, creates a valid status-change tether even without any change in economic value, because the shareholder's legal entitlements have shifted. A same-class pro rata stock dividend lacks that feature. It is, in substance, a relabeling of certificates rather than a change in interests.[141] A shareholder-level levy measured by the fair market value of the newly issued shares

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[138] Brooks & Gamage, *Reconsidered*, *supra* note 12, at 84, 126–33; John R. Brooks, *Stock Dividends, the Supreme Court, and the Great Crash of 1929* at 54–55 (SSRN Working Paper), https://ssrn.com/abstract=5126189.

[139] *Macomber*, 252 U.S. at 207–08, 210–11.

[140] *See United States v. Phellis*, 257 U.S. 156, 172–73 (1921) (treating corporate reorganization as creating "essentially different" rights and powers sufficient to constitute a taxable event); *Marr v. United States*, 268 U.S. 536, 540–41 (1925) (holding that reincorporation in a new state created a distinct taxable interest because the shareholder gained rights under a different legal charter).

[141] *See* Alex Zhang, *Rethinking Eisner v. Macomber, and the Future of Structural Tax Reform,* 92 GEO. WASH. L. REV. 179, 195–96 (2024) (explaining that in a pro rata stock dividend the shareholders' proportional ownership interests remain unchanged; describing the dividend as giving the shareholder only "additional pieces of paper evidencing his ownership" (quoting Towne v. Eisner, 242 F. 702, 706 (S.D.N.Y. 1917), rev'd, 245 U.S. 418 (1918))). That diagnosis aligns with the Base-Tether framework.

therefore fails Step 1 because the asserted excise subject is not sufficiently distinguishable from ownership "as such." Because Step 1 fails, we do not reach Step 2.[142]

Market or instrument tether. The facts of *Macomber* do not readily fit with the market or instrument tether category, which applies when financial infrastructure provides valuation, settlement, and collection mechanisms that keep liability bounded. But, to illustrate and clarify, consider a hypothetical variation wherein Congress enacted a broad-based financial transactions tax. Further imagine that this tax applies only to publicly traded securities, and is measured as a percentage of transaction value, but with stock splits and stock dividends also included in the tax base as deemed transactions. As applied to just purchases and sales, such a levy is a paradigmatic transaction excise.[143] But extending the same tax to pro rata stock dividends raises a distinct question: whether a non-transaction-based excise can be valid based just on the privilege of accessing public trading markets. We will discuss this question further in Part IV.B.2 in regard to proposed mark-to-market taxes on all publicly traded securities and conclude that it is borderline. *Moore*'s reaffirmation of *Macomber* having some remaining precedential vitality arguably implies that the privilege of accessing public trading markets might not suffice on its own to justify a financial transactions tax as applied to and encompassing stock dividends as deemed transactions.

Entity-level liability tether. If Congress had instead structured a corporate-level tax on recapitalization activities (such as stock dividend issuances[144]), with the corporation itself bearing and paying the liability from corporate assets, the analysis would differ.[145] Step 1 would be satisfied because the entity supplies a valid collection point distinct from the shareholders' personal wealth. Step 2 would typically be satisfied as well because the entity that holds the base pays from that base. Accordingly, the problem in *Macomber* under this analysis was that the tax was imposed at the shareholder level instead of relying on an entity-level remittance structure. The design thus failed to route liability through the institutional base that could have supplied the tether.

Attribution tether. Attribution of realized entity-level earnings to shareholders can satisfy Step 1 because it identifies a valid excise subject (the entity's realized income) and a valid allocation mechanism (pass-through to owners). *Moore* blessed precisely this structure. The difficulty for our framework is that the disallowed tax in *Macomber* was *also* calculated based on attributed corporate income.[146] This is because of the oddities of stock dividends, whereby they are treated as distributions of an amount of retained earnings associated with the shares, not necessarily the

[142] Even if we did reach Step 2, that would likely fail the payability standard, because the market value of the newly issued shares could be considered untethered from the base being taxed. The stock dividend transaction alone does not provide any new value or property to the shareholder, and thus the measurement of the tax is untethered from the transaction. This should be distinguished from a tax on the capitalized (distributed) earnings, as we discussed below.

[143] *See* notes 131-33 and accompanying text *supra* and notes 137-39 and accompanying text *infra*.

[144] Stock dividends by definition involve a capitalization of retained earnings into paid-in capital—this recapitalization is what distinguishes a stock dividend from a mere split and allows for the "dividend" label, since it results in a reduction in earnings and profits, much like a cash dividend.

[145] We leave aside the question of whether there would be any problem with taxing a corporation on its earnings twice—once when earned, and again when capitalized. The problem could be avoided if the second tax were considered an attributed shareholder tax, but collected at the corporate level, with appropriate basis adjustments.

[146] *Macomber*, 252 U.S. at 200–01; Complaint, Transcript of Record at 4, Eisner v. Macomber, 252 U.S. 189 (1920) (No. 318).

market value of the shares themselves.[147] Moreover, contrary to the *Moore* Court's characterization, the *Macomber* Court considered, and rejected, the attribution argument.[148] The only way to make sense of this then is to understand *Moore* instead as the culmination of a long line of cases that have reinterpreted and carved back *Macomber*. The *Moore* majority's statement that *Macomber* "was not a case about Congress's power to attribute the income of an entity" and that "whatever else *Macomber* might stand for, it does not proscribe attribution" confirms this reading[149]—the portions of *Macomber* addressing attribution have been effectively overruled, thus allowing the case to fit within our framework. Should a future tax on stock dividends be more explicit that stock dividend issuance is just an occasion for attributing corporate income to shareholders, it should pass muster under Step 1, and thus also as a valid excise.[150]

The *Macomber* progeny cases prior to *Moore* further support the structural account we have offered here that focuses on Step 1. In *Koshland v. Helvering*, the Court held that a stock dividend giving shareholders an interest "different in character" from their prior holdings is taxable income.[151] *Koshland* thus limited *Macomber* to pro rata common-on-common dividends that leave the shareholder's proportional stake and the character of the interest unchanged. As soon as the dividend creates a genuine change in entitlements (e.g., preferred stock where there was only common, or a changed percentage interest), it becomes a valid taxable statue-change event that can satisfy Step 1.[152] In *Helvering v. Griffiths*, the Court later confirmed that Congress had not intended to tax same-class pro rata stock dividends and found "no occasion" to reconsider *Macomber* in that narrow context—i.e., in the context that most clearly fails Step 1.[153] Perhaps most importantly, *Helvering v. Bruun* laid to rest any doubt that severance is a constitutional prerequisite.[154] There, the Court upheld a tax on a landlord's receipt of a building improvement upon lease termination, even though the landlord had not "severed" anything from the property. The Court focused instead on the fact that the transaction itself added ascertainable value to the taxpayer's holdings. Together, these cases point away from a rigid, one-size-fits-all realization rule and toward a more operational inquiry into whether the asserted base actually supports the measure imposed.

Macomber is best read, then, as a Step 1 case, providing clues about the line between transactions proper to excise and those that are mere pretexts. Under our framework, design variations can provide sufficient substance for excisability. A stock distribution that changes the character or proportion of the shareholder's interest can supply a status-change tether. A tax levy imposed and assessed just at the corporate level can satisfy the entity-level liability tether. And

[147] *See* Brooks, *supra* note 138, at 11–15 & 51–52. The typical treatment today is to say that the "distributed" earnings are equal to the market value of the distributed stock, but at the time *Macomber* was decided, the distributed earnings were equal to the *par value* of the stock, which was often substantially less than the market value (as was the case in *Macomber*. *Macomber*, 252 U.S. at 200–01).

[148] *Macomber*, 252 U.S. at 217–18.

[149] *Moore*, 602 U.S. at 588–89.

[150] While it was not dispositive in the case, it's perhaps also relevant to note that the statute at issue in *Macomber* purported to tax stock dividends on their "cash value" (rather than the amount of capitalized earnings), even though the government in fact levied tax based on the capitalized earnings (a much lower amount). *See Brooks*, *supra* note 138, at 28–29. Congress corrected the statute for subsequent years. *See id.*

[151] *Koshland v. Helvering*, 298 U.S. 441, 446–47 (1936).

[152] *See* I.R.C. § 305(b) (describing taxable stock dividends).

[153] *Helvering v. Griffiths*, 318 U.S. 371, 404 (1943).

[154] *Helvering v. Bruun*, 309 U.S. 461, 468–69 (1940).

(thanks to *Moore*'s limitation of *Macomber*) an owner-level tax limited to just attributed realized entity earnings should satisfy the attribution tether. What *Macomber*—as narrowed by later decisions and by *Moore*'s gloss—continues to resist is the use of a pro rata same-class stock dividend as a nominal hook for taxing shareholders without any of those tethers.[155] Excisable transactions must provide something more.[156]

IV. Applications and Implications Under the Base-Tether Framework

A boundary principle earns its keep only if it can be applied to real statutes and reform proposals. This Part stress-tests the Base-Tether framework against the provisions and designs most likely to become post-*Moore* test cases, showing where the doctrine is likely to turn and which drafting levers matter. For each application, we ask whether the levy targets a valid excise subject (Step 1) and whether its design avoids operational detachment (Step 2).

The applications are organized by the type of mechanism that supplies the tether. Section A examines transaction and status-change tethers, where a discrete legal event both identifies the excise subject and supplies a natural payment channel. These are among the easiest and safest of the test cases and thus a good place to start. Section B turns to market and instrument tethers, where financial infrastructure provides the valuation, settlement, and collection mechanisms that keep liability bounded. Section C addresses entity-level liability and attribution tethers, where entity structures supply collection points and attribution rules channel entity-level income to owners. Section D turns to some of the most borderline (or over the line) test cases to illuminate the boundary, focusing especially on proposals for wealth taxes and comprehensive mark-to-market tax reforms.

A. Transaction and Status-Change Tethers

One tether pattern arises when a discrete transaction or status-change event triggers the tax and then also identifies assets from which liability can be satisfied. These cases are structurally relatively straightforward under our Base-Tether framework because the triggering event does double duty; it supplies both the Step 1 excise subject (a distinct legal incident rather than ownership as such) and the Step 2 payment channel (value subject to the transfer or status-change event). We begin with transfer taxes, whose constitutional pedigree is most secure, then show how the same logic supports the expatriation exit tax and also proposed borrowing tax reforms.

1. Transfer Taxes

Step 1: The subject is the transfer event, a distinct legal incident rather than mere ownership.

Step 2: Liability is measured by transferred value and satisfiable from the transferred assets.

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[155] Note that as long as a shareholder tax on stock dividends includes income only equal to the capitalized (distributed) earnings (rather than stock market value—even if they are numerically the same), it should pass constitutional muster based on the attribution tether, even for pro rata same-class stock dividends. This is, in fact, the way that most taxation of stock dividends worked prior to *Macomber*, and arguably including *Macomber* itself. *See* Brooks, *supra* note 138, at 24–28. What is (or would be) objectionable is taxing a shareholder based on the market value of the newly issued shares without regard for the associated capitalized earnings.

[156] Note here that neither *Macomber* nor *Moore* purports to overrule *Flint*, *Nicol*, *Knowlton*, or *Bromley*. The canon against implied overruling thus supports an interpretation under which "realization" or "detachment" operates as a boundary against untethered, ownership-like levies rather than as a universal requirement that would collapse the excise category.

Bottom line: A valid excise.

The traditional transfer taxes—estate, gift, and generation-skipping transfer taxes—are event-triggered levies that have long been understood as excises not requiring apportionment.[157] The subject is the legal act of transfer (whether inter vivos or at death), and the liability is measured by transferred value and satisfiable from the transferred assets. Collection through estates, fiduciaries, and withholding rules provides further indicia of this boundedness.[158]

The doctrinal foundations are robust and longstanding, as we discussed in Part I. The Court first held that succession taxes were excises in 1875, in *Scholey v. Rew*.[159] In *Knowlton v. Moore*, the Court sustained the federal inheritance tax as an indirect tax imposed on the privilege of transfer at death rather than as a direct tax on property.[160] *Bromley v. McCaughn* later treated the federal gift tax the same way, explaining that a levy on the exercise of the power to give is an excise even though its measure is the value of the property transferred.[161]

What keeps transfer taxes from collapsing into a direct property tax is the combination of an identifiable taxable incident and base-linked satisfiability. The liability is measured by the value transferred and is satisfiable from that transferred property. That boundedness is what the Base-Tether framework treats as constitutionally relevant when Congress levies an excise on a transaction or legal status-change event.

2. The Expatriation Exit Tax

Step 1: The subject is expatriation, a status-changing legal event, rather than mere ownership of property.

Step 2: Liability is measured by built-in gain in identified assets subject to the status-changing legal event and is satisfiable from those assets.

Bottom line: The exit tax extends the transfer-tax logic to the status-change event of expatriation and is a valid excise on that event.

The exit tax treats certain covered expatriates as if they sold their property the day before expatriation, requiring recognition of net unrealized gain above an exclusion amount.[162] The provision is designed to prevent wealthy taxpayers from avoiding U.S. capital gains tax by changing residence or citizenship and then selling appreciated assets outside U.S. taxing jurisdiction.[163]

The exit tax has been identified as among the "best candidates" for post-*Moore* constitutional challenge.[164] The challenge threat comes from a taxpayer characterizing the exit tax's deemed sale

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[157] See *Knowlton*, 178 U.S. at 80–82; *Bromley*, 280 U.S. at 136–38; *Scholey v. Rew*, 90 U.S. (23 Wall.) 331, 347 (1875); I.R.C. §§ 2001, 2501, 2601.

[158] See I.R.C. § 6324(a) (special lien for estate tax); id. § 6324(b) (gift tax lien and donee liability); id. § 6901 (transferee liability); id. § 6166 (deferral for closely held businesses with interest and lien); id. § 2002 (estate tax paid by executor).

[159] 90 U.S. (23 Wall.) 331 (1875).

[160] *See Moore*, 602 U.S. at 620-50 (Thomas, J., dissenting).

[161] *Bromley*, 280 U.S. at 136–37.

[162] I.R.C. § 877A.

[163] Note, *Moore Than Meets the I.R.C.? The Apportionment Rule's Originalist Backstop for I.R.C. § 877A*, 137 Harv. L. Rev. 1204, 1205–06 (2024).

[164] Avi-Yonah, *supra* note 8, at 106.

as a tax on the mere ownership of the appreciated assets.[165] However, read through the Base-Tether framework's two-step inquiry, the better view is that the exit tax is an excise on the legal change in status at expatriation (the subject) and also keeps liability bounded to and satisfiable from the deemed-disposed assets (a tethered measure).

Start with the taxable subject. The exit tax is triggered by expatriation rather than by mere ownership of property. The statute treats a covered individual's decision to terminate long-term U.S. fiscal and political affiliation as the relevant event, and it then uses a deemed sale to measure the tax that follows. Thus, under Article I's taxonomy, even if a court reads the Sixteenth Amendment to require realization for an "income tax," the relevant constitutional question is still whether a value-measured levy triggered by expatriation is better understood as a tax on a status-changing act than as a tax on property ownership. As we have discussed previously, caselaw and historical practice are replete with taxes triggered by legal relationships and boundary-crossing acts rather than by ownership alone.[166] Expatriation thus supplies a distinct legal status-change event, and the tax is then measured by specified assets that the status change makes salient.

There may at first appear to be formalistic element to this. A person could formally "expatriate" without changing the custody of any assets or otherwise moving property in any real sense, and in that case the person could still avail themselves of all the same non-tax legal and financial institutions and protections as if still a citizen. But removing themselves, and their property, from substantial portions of the U.S. tax net is still a fundamental change in the legal status of the property, in a sense removing the implied lien that the U.S. Treasury has on all assets held by U.S. citizens. That is a sufficient "status change" to justify an excise.

Step 2 follows the same pattern. The liability is bounded to the unrealized gains in specific assets deemed sold at expatriation, not the taxpayer's global wealth or future earnings. Satisfiability is preserved because the taxpayer holds those appreciated assets at the moment of expatriation and could thus sell or borrow against them to pay the assessed tax.[167] There is a thus a direct line between the tax imposed and the removal of the U.S.'s implied lien to tax those gains. (Whether expatriation could justify a tax on net value, like the estate tax and other transfer taxes, is a different and at this point only hypothetical, question. We tentatively believe that it would pass master, though the argument is somewhat weaker than for transfer taxes (because the property is not fully transferred to another party) or for tax imposed on unrealized gain.[168]

3. Taxing Borrowing as Deemed Realization and the Buy-Borrow-Die Problem

Step 1: The subject is the act of borrowing.

Step 2: The liability is measured as a portion of the amount of borrowing but limited to the amount of built-in gain in assets held by the taxpayer.

Bottom line: Another valid excise based on extending the logic of transfer taxes and the expatriation exit tax.

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[165] I.R.C. § 877A(a)(1)–(2).

[166] See *Nicol*, 173 U.S. at 519–22; *Knowlton*, 178 U.S. at 80–82; I.R.C. § 877A.

[167] The statute also offers a deferral election, but this is a matter of legislative grace and not constitutionally required.

[168] The only "transfer" is essentially the U.S. government's transfer of its implied lien on unrealized gain, so the tethering would not be as tight as in the case of the estate tax.

Under current law, capital gains are taxed only when an asset is sold (or some other specified realization event occurs).[169] Then, if a taxpayer holds appreciated stock until death, the gain escapes income taxation entirely because heirs receive the asset with a "stepped-up" basis equal to the asset's value at the date of death.[170] This creates an obvious planning opportunity. Rather than selling appreciated assets and paying tax on the gain, wealthy taxpayers can borrow against those assets, using the loan proceeds for consumption or reinvestment while the assets continue to appreciate untaxed. The loan interest may even be deductible.[171] When the taxpayer dies, the stepped-up basis eliminates the built-in gain, and the estate can sell assets tax-free to repay the loans. This strategy, known as "buy-borrow-die," allows the very wealthy to live on their appreciation without ever paying tax on it.[172]

Fox and Liscow propose closing this gap by treating certain borrowing as a taxable event. Under their proposal, when a taxpayer with household net worth above a specified threshold borrows, the borrowing would trigger realization and recognition of built-in gain in the taxpayer's assets to the extent of the loan proceeds.[173] If a taxpayer has $10 billion of total unrealized gains and borrows $4 billion, then 40% of those unrealized gains would be treated as realized and taxed.[174] The policy rationale is that borrowing while holding appreciated assets is a functional cash-out equivalent that provides the taxpayer with funds for separate use, even absent a sale. Fox and Liscow argue this is constitutionally permissible because the borrowing event supplies exactly the kind of value access that *Macomber* said was missing from a stock dividend.[175] Notably, Fox and Liscow frame their proposal as most naturally defended on excise grounds—a tax on the act of monetizing appreciated assets through borrowing—and, in the alternative, as an income tax if borrowing is treated as a realization-like access event.[176] Either framing turns on the same structural intuition that animates the Base-Tether framework. Borrowing supplies the access channel that *Macomber* said was missing from a pro rata stock dividend.

A skeptic will object, however, that borrowing proceeds are simply not income.[177] As Wallace and Wells (among others) emphasize, the receipt of loan proceeds is generally excluded from the income tax because the gain to the taxpayer is exactly offset by an obligation to repay the borrowed amount in full.[178] Consider a simple balance sheet: a taxpayer who borrows $2 million against $10 million in stock now has both the stock and cash, but also owes $2 million to the lender. Net worth is unchanged. If the Sixteenth Amendment permits only the taxation of income, and income requires an accession to wealth, then taxing borrowing proceeds as income is at least arguably unconstitutional.[179]

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[169] Gamage, Brooks & McCaffery, *supra* note 14, at 386–88.

[170] I.R.C. § 1014(a)(1).

[171] I.R.C. § 163(a).

[172] Gamage, Brooks & McCaffery, *supra* note 14, at 386–87.

[173] Edward G. Fox & Zachary Liscow, *No More Tax-Free Lunch for Billionaires: Closing the Borrowing Loophole,* 182 TAX NOTES FED. 647, 647–50 (2024).

[174] *Id.* at 648–50; Gamage, Brooks & McCaffery, *supra* note 14, at 420–21.

[175] Fox & Liscow, *supra* note 159, at 655–56.

[176] Fox & Liscow, *supra* note 159, at 519–22.

[177] *Commissioner v. Tufts*, 461 U.S. 300, 307 (1983).

[178] Wallace & Wells, *supra* note 88, at 37.

[179] *Commissioner v. Glenshaw Glass Co.*, 348 U.S. 426, 431 (1955). We note that using changes in net worth as a touchstone for defining "income" would also imply that unrealized gains should be considered "income," but that symmetry argument is rarely invoked by those challenging Congress's tax power.

The Base-Tether framework asks a different question. The relevant constitutional inquiry is not whether borrowing generates "net income" in a definitional sense. The question is whether Congress has identified a valid excise subject and designed the tax to remain tethered to that base.

On Step 1, the subject is the borrowing transaction, not ownership of the underlying assets. This is a clear transaction similar to those in the other transaction-based excise cases—at the simplest level, there is an exchange of cash for a note[180] On Step 2, borrowing supplies a natural satisfiability channel. Unlike a pro rata stock dividend, where the shareholder's gain remains embedded in the underlying position and the tax must be funded from unrelated sources, borrowing delivers cash proceeds that can be used separately. The liability can therefore be satisfied from the monetization event itself.[181] Boundedness and satisfiability are preserved because the tax is measured by the amount borrowed (or the gain allocated to that amount), ensuring liability never exceeds that amount. The fact that borrowing is not considered income and does not itself produce economic gain does not directly matter, just as it does not matter in other transaction- and status-change excise precedents.[182] As a simple illustration, suppose that Congress instead enacts an excise tax on *all* borrowing, measured based on the value of the loan. Such a tax would be a clearly valid excise, and the buy-borrow-die version is a subset—an excise tax on some borrowing, measured based on some of the value of the loan.

That said, the strongest objection is arguably a Step 1 disguise concern—that the nature of the tether shows that it is not *really* a tax on borrowing, but rather an income tax on unrealized gain or on wealth. Because the Fox and Liscow proposal applies only to taxpayers above a high wealth threshold, critics may argue that Congress is really imposing a tax keyed to the taxpayer's wealth and calling it an excise.[183] However, this objection should fail, because it is not in fact a tax on ownership of wealth as such, but rather on a discrete borrowing transaction that the taxpayer chooses to enter. The wealth threshold defines the scope of taxpayers subject to the regime, but the taxable subject remains the act of monetizing appreciated assets. A taxpayer above the threshold who does not borrow owes nothing; a taxpayer who borrows triggers the tax only on that transaction. This structure preserves the entry/exit feature that distinguishes genuine excises from ownership levies. The threshold functions like the jurisdictional limits in other transaction taxes (such as reporting thresholds for gift tax returns[184] or the exemption amount for estate tax liability[185]) rather than as the operative trigger. What matters for Step 1 is that borrowing supplies the non-universal, transactional incident that the excise cases require—an incident the taxpayer can avoid by choosing not to borrow.

This discussion also further illustrates why income-definition approaches alone cannot resolve the post-*Moore* boundary question. Whether borrowing is excluded from income because of the

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[180] See *Nicol*, 173 U.S. at 519–22; *Flint*, 220 U.S. at 162–63.

[181] To be clear, liquidity is not a necessary element—we mean only that its existence here provides an especially clear tethering.

[182] *See Knowlton*, 178 U.S. at 78-79; *Bromley*, 280 U.S. at 136-37.

[183] See Daniel Hemel, *Opinion, A Wealth Tax Is a Good Idea—If We Had a Different Supreme Court*, WASH. POST (Oct. 26, 2021) (arguing that a purported "billionaire tax" is effectively keyed to wealth because it "kicks in only if a taxpayer's wealth . . . passes the $1 billion threshold," and thus may be treated as a constitutionally problematic "tax on wealth").

[184] I.R.C. §§ 6018, 6019.

[185] 26 U.S.C. § 2010(c) (2022).

offsetting liability should not matter for assessing the limits on Congress's power to tax borrowing through the Article I excise power.

B. Market and Instrument Tethers

Another tether pattern arises when market infrastructure itself provides continuous access to value. Some financial markets do not merely price assets; they also settle gains and losses routinely, allowing participants to access gains in cash as they are settled. When the market architecture supplies this kind of built-in payment channel, Congress can measure a tax by asset value without creating the detachment problem that would arise if taxpayers had to liquidate unrelated assets to pay. Other financial instruments supply a payment channel through their own contractual terms, most clearly when the instrument itself promises a cash payment at maturity. Section 1256 mark-to-market taxation of exchange-traded derivatives is the canonical example. Proposals to extend mark-to-market treatment to all publicly traded securities raise design-dependent questions about where market infrastructure ends and ownership begins.

1. Section 1256 Mark-To-Market Taxation of Exchange-Traded Derivatives

Step 1: The subject is participation in a specific regulated market.

Step 2: The trading system settles gains and losses daily and generally allows participants to withdraw gains in cash; Congress can route reporting and collection through these same mechanisms, making liability satisfiable from the base.

Bottom line: A valid excise.

Under ordinary income tax rules, gains and losses on property are recognized only when the property is sold or exchanged. "Mark-to-market" is an alternative approach whereby the tax system treats the property as if it were sold at the end of each year, taxing any increase in value (or allowing a deduction for any decrease) even though no actual sale occurred.[186] The taxpayer's "basis" (the starting point for measuring future gain or loss) is then adjusted to reflect the new value, so the same gain is not taxed twice. Mark-to-market taxation is sometimes called "accrual" taxation because it taxes gains as they accrue rather than waiting for a realization event.

Section 1256 of the Internal Revenue Code has required annual mark-to-market taxation for certain financial contracts since 1981.[187] The provision applies primarily to "regulated futures contracts" (standardized agreements to buy or sell commodities or financial instruments at a future date, traded on regulated exchanges like the Chicago Mercantile Exchange) and certain exchange-traded options.[188] At year-end, taxpayers holding these positions must treat them as sold at fair market value, recognizing gain or loss even though no actual sale occurred.[189]

Section 1256 illustrates how mark-to-market rules can be a valid excise even though they would fail a strict realization requirement. On Step 1, participation in an exchange-traded derivatives market is a paradigmatic institutional subject. Traders do not simply "own" contracts the way one might own a farm or a family heirloom. They participate in a government-regulated

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[186] *Bromley*, 280 U.S. at 136-37.

[187] See I.R.C. § 1256(a); Economic Recovery Tax Act of 1981, Pub. L. No. 97-34, § 503(a), 95 Stat. 172, 327 (1981).

[188] I.R.C. § 1256(b).

[189] *Id.*

system where a central institution (called a clearinghouse) stands between every buyer and seller, guarantees performance on each trade, and settles gains and losses daily. This infrastructure is legally and practically distinct from baseline property ownership.[190]

The Ninth Circuit has upheld Section 1256 against an explicit constitutional challenge. In *Murphy v. United States*, a futures trader argued that Section 1256 was unconstitutional because it taxed "unrealized" gains. The court rejected that claim by tying Section 1256 to the trading system's own settlement mechanics. It treated the regime as resting on constructive receipt because futures traders receive profits as a matter of right on a daily basis and may withdraw cash from their futures accounts. The court also stressed the limit of its reasoning, declining to decide whether Congress could tax gains inherent in capital assets "prior to realization or constructive receipt."[191]

Thus, on Step 2, the tethering case is strong. The tax is measured by the value of positions held within the exchange-cleared system, and the trading infrastructure supplies a practical channel for satisfaction. Traders can withdraw their daily profits in cash, and Congress can route reporting and collection through the same brokerage and clearing mechanisms that already handle these cash flows.[192] Section 1256 does not require taxpayers to liquidate unrelated assets to pay tax on appreciation. It taxes value changes in an account that already provides routine access to cash, which is precisely the operational design that prevents a value-measured levy from floating free as a personal debt. This is why Section 1256 is a relatively clean anchor case. The remaining question is what other market and instrument settings can supply comparably strong access channels.

2. Original Issue Discount Bonds

Step 1: The subject is participation in a debt instrument arrangement in which interest is economically earned over time, even if paid at maturity.

Step 2: Liability is measured by the instrument's built-in yield and accrues within a bounded instrument whose terms and marketability supply a practical payment channel.

Bottom line: A familiar example of value-measured taxation that remains attached to an identified financial instrument and is thus a valid excise.

Original Issue Discount ("OID") presents another key example of an existing tax provision that operates without traditional realization.[193] When a bond is issued at a discount from its face value, the difference represents interest that will be paid at maturity. Under current law, the bondholder must include a portion of this discount in income each year, even though no cash is received until the bond matures or is sold.[194] Under the Base-Tether framework, OID taxation is defensible because the subject is participation in a legally defined debt instrument with specific terms and (often) institutional intermediation.[195] The liability is bounded to that instrument and

[190] Avi-Yonah, Hocking & Sharma, *supra* note 27, at 361-62.

[191] *Murphy v. United States*, 992 F.2d 929, 930–32 (9th Cir. 1993).

[192] *Id.* at 931; S. Rep. No. 97-144, at 156–57 (1981), reprinted in 1981 U.S.C.C.A.N. 105, 255–56.

[193] I.R.C. §§ 1271–1275; Treas. Reg. §§ 1.1272-1, 1.1273-1; I.R.S. Pub. 1212, *Guide to Original Issue Discount (OID) Instruments* (Rev. Dec. 2025); *Moore v. United States*, 602 U.S. 572, 597 (2024) (listing "§ 1272(a) (original-issue discount instruments)" among provisions that the petitioners' realization theory "could render . . . unconstitutional").

[194] I.R.C. §§ 1272–1275 (2024); Speck, *supra* note 10, at 30 (describing OID's accrual mechanics, which "yield gradually increasing inclusions over the loan's term").

[195] As an alternative, an OID instrument could also fit under the transaction or status-change tether. The purchase of the bond is clearly a transaction, and the transaction itself makes available the additional value for paying the tax,

satisfiable from the maturity payment or sale proceeds. The OID rules thus illustrate that compliance with a traditional realization requirement is not required for instrument-tethered excises. The constitutional question is whether the accruing amount is tethered to a base that supplies a path to payment, not whether cash has changed hands. The path to payment need not be contemporaneous with the accrual; for OID instruments, the maturity payment or sale proceeds supply the eventual satisfiability channel, and the marketability of many debt instruments provides a practical payment path even before maturity.[196] Contrast this, again, to a tax on a pro-rata same class stock dividend measured by value of the distributed shares—because the stock dividend has no net value itself, paying any tax on it would require use of assets beyond the base of the tax.

3. Broader Public-Equity Mark-to-Market

Step 1: The subject is participation in an organized public securities market.

Step 2: The tax is measured by market prices for publicly traded stock and is generally satisfiable through the liquidity and broker infrastructure that the market provides.

Bottom line: A borderline case whose strength may depend on design choices.

The preceding examples involved existing Code provisions with decades of settled operation, and apply to specific bounded cases where the arguments are strongest. Some reform proposals would push further, extending mark-to-market treatment to all publicly traded securities, including stocks and bonds.[197] Under such a regime, a taxpayer holding publicly traded stock would owe tax each year on any increase in the stock's value, regardless of whether the stock was sold.

The Step 2 case for such proposals is plausible but design-dependent. Publicly traded securities have readily ascertainable market values, broker reporting is already comprehensive, and Congress could integrate computation and collection into the same brokerage infrastructure that already handles dividend and interest reporting. But unlike Section 1256 contracts, ordinary equities do not involve routine cash settlement of gains; absent statutory collection design (for example, withholding, in-kind remittance, or mandatory partial sale mechanisms),[198] annual mark-to-market might operate as a free-floating personal liability rather than a charge payable from the intermediated account base.

On Step 1, however, the case becomes meaningfully harder as the regime approaches universality. If mark-to-market applies to all publicly traded assets, critics will argue that it looks like a tax on ownership as such with an annual valuation date. In modern society, participation in public equity markets might be viewed as so necessary and prevalent as to be essentially non-voluntary, akin to breathing or traveling via roads or using government currency. The best Step 1 defense to these critiques is institutional. Modern holding of public securities is participation in a broker-managed system with specific entry and reporting requirements, not simple common-law possession of a thing. Indeed, ownership of public equities requires a more complicated infrastructure than most investors realize, with layers of legal and equitable ownership involving, e.g., registered investment companies, broker-dealers, and securities depositories—it would be

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i.e., the contractually promised growth from the original issue price to the face value. That value flows from the transaction itself, not the mere holding of wealth.

[196] I.R.C. §§ 1271–1275.

[197] Jane G. Gravelle, Cong. Research Serv., R41364, *Capital Gains Tax Options: Behavioral Responses and Revenues* 20 (Jan. 19, 2021).

[198] Access to borrowing facilities secured by the stock (à la buy-borrow-die) could also be relevant.

unrecognizable to someone familiar only with common-law property regimes. But even so, the closer the design comes to universality, or to being so necessary and prevalent as to be in effect not truly voluntary, the more it risks failing Step 1.

Base-Tether clarifies that the constitutional work lies in design choices that keep the subject visible and distinct from ownership generally. Congress could potentially strengthen the Step 1 case by limiting the regime to just positions held through specific brokers and coupling the tax to withholding mechanisms that make the levy visibly tied to market participation.

The upshot is a spectrum from strongest to most contested. Section 1256 is the anchor because it targets a narrow, specialized market with built-in daily settlement. Broader public-equity mark-to-market is design-dependent, growing stronger when limited to specific broker-held positions and coupled with withholding mechanisms, but weaker as it approaches universality.

C. Entity-Level Liability and Attribution Tethers

Two related tether patterns operate through entity structures. Entity-level liability arises when the taxpayer is the entity itself and the entity pays from its own assets, as with the corporate income tax. Attribution of realized entity income arises when entity-level income is attributed to owners, as with partnerships, S corporations, and certain anti-deferral regimes. Both patterns keep liability bounded to a genuine base rather than floating free as a personal debt against general wealth.

1. Corporate Income Taxation and Corporate Value Taxes

Step 1: The subject is the privilege of doing business in corporate form, a distinct legal status with state-conferred benefits (limited liability, perpetual existence, transferable shares) and clear entry and exit conditions.

Step 2: The liability is tethered because the corporation itself pays the tax from its own assets. There is no detachment: the entity that is the subject of the privilege bears the burden.

Bottom line: The corporate income tax is a paradigmatic tethered excise since *Flint v. Stone Tracy Co.*, and proposals for corporate value taxes satisfy the same structural logic. The corporate form supplies both the Step 1 subject and the Step 2 collection mechanism, regardless of whether liability is measured by income or by asset value.

The federal corporate income tax has been a fixture of American tax law since 1909, when Congress enacted a tax on corporations "with respect to the carrying on or doing business" in corporate form, measured by net income. In *Flint v. Stone Tracy Co.*, the Supreme Court upheld this tax as an excise rather than a direct tax, reasoning that the tax was imposed not on property but on "the privilege of doing business in a corporate capacity."[199]

Flint helped establish a principle that remains central to the Base-Tether framework. The classification of a tax depends on its subject, not its measure. The fact that corporate income may derive from property (dividends, rents, capital gains) does not make the corporate tax a property tax, nor indeed did it make it formally an income tax, during the period prior to 1913 when an income tax on property was unconstitutional. What matters is that the tax is imposed on the corporate privilege, a legally distinct status that taxpayers choose to enter and that the state creates and maintains, even if the measure of the tax is based on income.

[199] *Flint*, 220 U.S. 107.

The corporate income tax thus easily satisfies both steps the Base-Tether framework. On Step 1, the corporate form is a paradigmatic institutional subject. The corporate form provides state-conferred benefits (limited liability, perpetual existence, centralized management) that go beyond common-law ownership. Taxing the exercise of these privileges is taxing participation in a distinct legal regime, not ownership standing alone.

On Step 2, the corporate income tax is inherently tethered. The taxpayer is the corporation itself, and the liability is satisfied from corporate assets. There is no detachment problem because the entity that is the subject of the privilege pays the tax from the income generated through exercise of that privilege. The corporation's assets, accounts, and governance structure—all voluntarily chosen by investors in order to take advantage of the institutional benefits of the corporate form—provide a clear base from which payment can be made.

Some commentators have proposed taxing corporations based on measures other than net income, such as market capitalization (the total value of outstanding shares), gross assets, or enterprise value.[200] These proposals raise the question of whether *Flint*'s logic extends to value-based measurement or whether it depends on the measure being "income." Under the Base-Tether framework, the answer turns on whether value measurement changes either the Step 1 or Step 2 analysis.

On Step 1, the subject would remain the same, namely the privilege of doing business in corporate form. A corporation subject to a value-based tax is still being taxed on its exercise of corporate privileges, not on ownership of property as such. The shareholders own the corporation's shares, but the corporation itself holds the assets. Taxing the corporation on the value of those assets is not the same as taxing individual shareholders on their net worth.

On Step 2, the tethering analysis also remains the same. The corporation would pay the tax from its own assets, the same assets whose value determines the liability. Unlike an individual wealth tax, where the individual must find resources to pay a liability calculated absent realization, a corporate value tax is paid by the entity that is the subject of the excised privilege. The corporation can pay from operating cash flow, by liquidating assets, or by borrowing against assets. Regardless, the liability is anchored in and collectible from the corporate base. In effect, corporate form confers a benefit on all assets placed into corporate solution, so a tax levied on those assets is sufficiently tethered to the privilege that is the subject of the tax.

Critics might complain that taxing corporate value is functionally equivalent to taxing the shareholders' wealth, since shareholders ultimately bear the economic burden of corporate taxes (through reduced dividends, lower stock prices, or both). However, the Direct Tax Clauses do not prohibit taxes that economically burden property owners;[201] they prohibit taxes that are legally imposed on ownership. A corporate value tax is legally imposed on the corporation, collected from the corporation, and satisfied from corporate assets. The corporation is a legally distinct entity from its shareholders, and taxing the entity is different from taxing the shareholders even if

[200] Reuven S. Avi-Yonah, *A Corporate Wealth Tax?*, at 3–5 (unpublished manuscript, Dec. 2025) (on file with authors) (discussing Saez and Zucman's proposal for a corporate wealth tax based on market capitalization and proposing an alternative based on book values); Emmanuel Saez & Gabriel Zucman, *Progressive Wealth Taxation*, Brookings Papers on Econ. Activity, Fall 2019, at 437.

[201] This is especially so after the Sixteenth Amendment, which was passed to restore this doctrine after *Pollock* undermined it.

shareholders bear some (or even all) of the ultimate economic incidence. This is the same logic that has sustained the corporate income tax for over a century.

The *Flint* decision strongly supports this analysis. The Court explicitly blessed excise taxes measured by asset values rather than income. In *Spreckels*, "the excise tax, for the privilege of doing business, was based upon the business assets."[202] In *Society for Savings*, "the amount of excise was measured by the amount of bank deposits."[203] And in *Hamilton Manufacturing*, "the tax was measured by the excess of the market value of the corporation's capital stock above the value of its real estate and machinery."[204] As the *Flint* decision explained, "[w]e must not forget that the right to select the measure and objects of taxation devolves upon the Congress, and not upon the courts."[205]

2. Pass-Through Taxation

Step 1: The subject is participation in a pass-through entity regime in which realized entity income is attributed to owners.

Step 2: Liability tracks actual entity earnings and remains structurally connected to the entity's earnings.

Bottom line: A valid excise.

The "blast radius" concern in *Moore* centered on whether constitutionalizing realization would invalidate taxation of partners and S-corporation shareholders on undistributed entity income. Base-Tether explains why these regimes remain safe without resorting to constructive realization fictions.

On Step 1, there is analytically first a choice of whether to view the partnership as an aggregate of (or conduit for) individuals, or as a separate entity. On one extreme are simple general partnerships, especially *de facto* partnerships (those entered into simply by engaging in a shared enterprise). These are best thought of simply as extensions of the individual income tax—a paradigmatic excise under Step 1—with perhaps some small need for attribution with respect to minority partners. On the other extreme are more complex partnerships and especially S Corporations, which are state-law corporations despite being taxed as partnerships. Here, the subject starts to become the privilege of doing business through a legally structured pass-through form, akin to the argument for the corporate tax. Partnership and S-corporation status involves entry and exit conditions (formation documents and, for S corporations, elections filed with the IRS, as well as dissolution procedures) and state-conferred organizational benefits (limited liability for some forms, flexible allocation of income and loss, entity-level governance). This is participation in a distinct legal regime, not ownership of property as such. Because the full spectrum of arrangements is covered, this satisfies Step 1.

On Step 2, the entity structure supplies a base-tethered path to payment. The income being measured is generated within the entity and reported through entity-level accounting. Even when cash is not distributed, partnership and operating agreements commonly include provisions for

[202] *Flint v. Stone Tracy Co.*, 220 U.S. 107, 165 (1911) (discussing *Spreckels Sugar Ref. Co. v. McClain*, 192 U.S. 397 (1904)).

[203] *Id.* at 167 (citing *Society for Savings v. Coite*, 73 U.S. (6 Wall.) 594 (1868)).

[204] *Id.* (citing *Hamilton Mfg. Co. v. Massachusetts*, 73 U.S. (6 Wall.) 632 (1868)).

[205] *Id.*

"tax distributions" to help partners cover tax liabilities on allocated income,[206] and the entity's earnings and governance structure provide a practical (though not legally secured) path to satisfying the obligation.

D. The Boundary: Wealth Taxes and Comprehensive Mark-to-Market

Proposals for wealth taxes and comprehensive (owner-level) mark-to-market reforms (often called Billionaire Income Taxes) have received considerable academic and political attention in recent years.[207] Wealth tax reform proposals would impose a levy calculated as a percentage of a taxpayer's net worth, total assets minus total liabilities, regardless of whether any transaction occurred or any value was accessed during the year. Senator Warren's proposed "Ultra-Millionaire Tax," for example, would have imposed a 2% annual tax on household net worth above $50 million, with higher rates for billionaires.[208] Comprehensive mark-to-market proposals, including those advanced by the Biden administration and by the Harris presidential campaign, would instead tax annual changes in asset values.[209]

In prior work, we assessed the pre-*Moore* caselaw along with the history, structure, and text of the Constitution, and concluded that these proposals should survive scrutiny as valid excises.[210] However, that was at a time when most scholars still agreed that *Macomber* had been overturned by subsequent cases and was no longer a valid precedent,[211] and, as the Ninth Circuit decision held in *Moore*, it was still reasonable to conclude that Court decisions subsequent to *Macomber* (but preceding the Court's decision in *Moore*) had "made clear that realization of income is not a constitutional requirement."[212] As we have discussed, following the Court's decision in *Moore*, these are no longer reasonable conclusions as to the current state of federal taxing power jurisprudence and especially not as predictions for how a majority of the current Court would be likely to vote in future cases.[213]

The essence of our analysis in that prior work started with the observation that a consistent line of Court cases had held, as we discussed in Part I and as now has been reaffirmed by *Moore*,[214] that the Sixteenth Amendment income tax power is just a subset of the Article I excise power because the Sixteenth Amendment just overturned the *Pollock* decision and did not create any new federal taxing powers apart from those previously provided by Article I.[215] However, in that prior work, we argued that the caselaw at that time was best understood as treating the activity of earning income generally as a proper subject for the excise tax power, such that the income tax should be understood as an excise on the subject of earning income generally.[216] We then reasoned that if earning income generally qualified as an activity that could properly be the subject of a valid

[206] Of course, the result cannot turn on the existence of tax distribution provisions, but this illustrates that partnerships are negotiated contracts among the partners and including these terms (or not) is a choice—the path is available, even if not chosen.
[207] Brooks & Gamage, *Reconsidered*, *supra* note 12, at 149.
[208] Gamage, Brooks & McCaffery, *supra* note 14, at 383.
[209] *See id.* at 383–84.
[210] Brooks & Gamage, *Reconsidered*, *supra* note 12, at 149–50.
[211] *See id.* at 127–34.
[212] *Moore v. United States*, 36 F.4th 930, 935 (9th Cir. 2022), *aff'd on other grounds*, 602 U.S. 572 (2024).
[213] *See* notes 63–66 and accompanying text *supra*.
[214] Brooks & Gamage, *Reconsidered*, *supra* note 12, at 80–84.
[215] *Id.* at 126–33.
[216] *Id.* at 149–50.

excise, why not also activities like accumulating and sustaining extreme levels of wealth? It was on this basis that we argued that prominent wealth tax and Billionaire Income Tax reform proposals should survive scrutiny as valid excises, although we also acknowledged that our arguments went a step beyond what had previously been upheld in prior excise tax cases.[217]

Regardless, today, following the Court's decision in *Moore*, it is clear that a majority of today's Court would reject that analysis from our prior Article. The revitalization of *Macomber* and the reasoning in the *Moore* decisions (with the exception of Justice Jackson's) implies that the income tax is not an excise on the general activity of earning income, but rather as an aggregate of specific valid excises on a combination of transactions and status-change events (e.g., realized income), market and instrument participation (e.g., Section 1256 and Original Issue Discount), and entity-level liability and attribution tethers (e.g., corporate income taxation, partnership taxation, and the Mandatory Repatriation Tax upheld in *Moore*).[218]

If earning income generally was a valid subject for an excise, then there would be no need to review (for example) the stock dividends in *Macomber* based on a realization (or other Base-Tether) test nor the Mandatory Repatriation Tax in *Moore* based on an attribution test. Instead, the question would be whether these should qualify as being a valid component of the activity of earning income, potentially requiring an inquiry into the definition of income, as in the Wallace and Wells analysis discussed in Part II.[219] Although we continue to think that our analysis in our prior (pre-*Moore*) scholarship is the best way to understand the caselaw at that time along with the history and structure of the relevant Constitutional provisions, we think a different theory is required to make coherent sense of the caselaw post-*Moore*, which is what we have offered in this Article.

Accordingly, the Base-Tether framework is based on construing the Sixteenth Amendment as blessing "taxes on incomes" not as an excise on the general activity of earning income but rather as an aggregate of specific excises each of which separately satisfies one or more categories of base-tethering. As we have argued, the realization requirement is best understood as a subset of the more general transaction and status-change category of base-tethering, but this is not the only category of how the Constitutional test can be satisfied, because caselaw clarifies that market and instrument tethers and entity-level liability and attribution tethers also suffice as alternatives capable of sustaining unapportioned tax provisions absent realization.

Yet the prominent proposals for wealth taxes and Billionaire Income Taxes cannot be sustained by any combination of these valid base-tether categories. By their very nature, these proposals levy tax absent transactions or status-change events. These proposals go well beyond the broadest borderline examples of market and instrument tethers we discussed above, including in their tax bases non-publicly-traded property that benefits only from the baseline legal protection of

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[217] *Id.* at 150.

[218] As an example of a court explicitly constructing the income tax as a collection of different excises, *see* Murphy v. I.R.S., 493 F.3d 170 (D.C. Cir. 2007), in which the circuit court held that the denial of deduction for medical expenses associated with non-physical injuries could be construed as an excise on "the involuntary conversion of [human] capital" through the facility of "the legal system" even if could not be justified under an income tax. *Id.* at 185–86.

[219] Grewal similarly argued that provisions like the Mandatory Repatriation Tax should survive as a component of a general income tax on income, although in Grewal's analysis this depends on the general income tax complying with *Macomber*'s realization requirement. Regardless, the reasoning in the *Moore* decisions is just as inconsistent with Grewal's posture as it is with that of Wallace and Wells and of that in our prior Article discussed above. *See* Grewal, *supra* note 19.

common-law property rights and not any distinct legal machinery that amplifies the utility or value of that property. And these proposals assess tax at the individual and family level and without relying on attribution or any other form of entity-level liability or attribution tether. These proposals thus clearly fail the Base-Tether framework.

Step 1: Prominent proposals for wealth taxes and for Billionaire Income Taxes impose liability even in the absence of transactions or status-change events, even without participation in any specific markets or financial instruments, and with the tax liability assessed and remitted at the individual level and even in the absence of any attribution of entity level earnings. This amounts to a clear step 1 failure.

Step 2: The Step 1 failure makes is unnecessary to reach Step 2.

Bottom line: These are taxes on ownership as such, not excises.

Thus, prominent proposals for wealth taxes and Billionaire Income Taxes are unlikely to pass muster as unapportioned excises in the post-*Moore* era. But that does not mean that Congress has no options for taxing the wealthiest Americans. As alluded to earlier, recent scholarship has discussed how the use of modern fiscal tools could make apportionment feasible as an alternative route for designing constitutionally valid wealth taxes or Billionaire Income Taxes.[220]

There are also proposals for redesigning wealth taxes and Billionaire Income Taxes so that tax would not be due until either sale of assets or death, but with formulas then used to gross up the tax at those times to make up for the deferral value.[221] The Base-Tether framework affirms that these proposals should survive scrutiny as valid transaction and status-change tethered excises, and also that these proposals could be combined with reforms like the Fox and Liscow proposal to tax borrowing as deemed-realization so as to more effectively counter buy-borrow-die style tax planning.[222] Other transactions and status changes could also potentially be included as deemed realization events, such as death or significant financial transactions like taking a corporation public.

Perhaps most promising, because most financial wealth is held in entity forms, including trusts, proposals for entity-level value taxes have the potential for raising large revenues from the heaviest concentrations of wealth without waiting for sales or other dispositions.[223] These could potentially

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[220] See Note 39 *supra*.

[221] *See* Brian Galle, *How to Tax the Ultrarich* (Roosevelt Inst. Jan. 29, 2026) (describing a realization-based design that "neutralizes" deferral by charging an interest/deferral adjustment so delaying sale does not reduce tax owed); Greg Leiserson, *Taxing Wealth* 89 (Wash. Ctr. for Equitable Growth 2020) (describing realization-based taxation of non-traded assets paired with a retrospective/deferral-neutralizing computation); Gamage, Brooks & McCaffery, *supra* note 14, at 428–36 (discussing retrospective capital gains taxes and taxing gains at death).

[222] Fox & Liscow, *supra* note 159, at 655–56; Gamage, Brooks & McCaffery, *supra* note 14, at 418–21.

[223] Brian Galle, David Gamage & Bob Lord, *Taxing Dynasties* (Mar. 25, 2025) (*forthcoming* 174 U. PA. L. REV. (2026)) (estimating at least $4.1 trillion held in trusts perpetually exempt from transfer taxes and that one-third or more of the wealth controlled by the top 0.1% may be held in such trusts); John Bailey Jones & Urvi Neelakantan, *Portfolios Across the U.S. Wealth Distribution*, FED. RESERVE BANK OF RICHMOND ECON. BRIEF NO. 23-39 (Nov. 2023) (reporting that wealthier households' portfolios tilt heavily toward stocks and private business equity).

Relatedly, recent scholarship by Patrick Driessen has proposed entity-level surtaxes keyed to concentrated ownership rather than asset value. Drawing on *Moore* and Subpart F, Driessen proposes a domestic antideferral corporate surtax on undistributed corporate earnings allocable to concentrated 5-percent shareholders above a threshold, while leaving legal liability at the corporate level and relieving later shareholder-level taxation on distributions from the surtaxed pool. A design of that sort should be substantially more defensible under our framework than owner-level billionaire taxes, because the corporate form supplies the Step 1 excise subject and the corporation include corporate value taxes along with accompanying value taxes on the largest pass-through entities, and also value taxes or value-based withholding taxes on the trusts currently used by the wealthiest Americans to escape estate and gift tax liability.[224] So long as tax is assessed and remitted only at the entity levels, without individual level liability, proposals of this sort should survive scrutiny as entity-level liability tethers.

The broader point is that the Base-Tether framework offers guidance as to both what sorts of tax designs are unlikely to be upheld as valid excises and also as to alternative designs that should be upheld. The hope is that Congress can then follow this guidance to navigate through the post-*Moore* minefield to effectively use the federal taxing power in its new era.

CONCLUSION

Moore added uncertainty to federal taxing power jurisprudence rather than settling it. The Court's narrow holding upholding the Mandatory Repatriation Tax without defining "income" or "realization" leaves Congress and lower courts without clear guidance about which tax designs remain safe. A rigid constitutional realization requirement would endanger large portions of modern tax law, yet the *Moore* opinions also signal that a majority would reject treating the excise power as effectively unlimited. The Base-Tether framework offers a traversable path through this quagmire, one that makes sense of the Court's competing commitments by preserving apportionment as a meaningful constraint while also explaining why value-measured levies remain valid excises only when their design keeps liability sufficiently tethered to a valid excise subject.

The central insight is structural rather than definitional. Making sense of the Court's signals requires moving beyond a fight over the word "income" standing alone. If courts are to enforce a constitutional realization constraint, they will need a limiting principle that cannot be evaded by relabeling and that does not collapse the excise category into "transactions only." The Base-Tether framework supplies that principle by asking whether statutory design keeps liability bounded to and satisfiable from a valid excise base, or whether the tax instead operates as a personal debt effectively keyed to ownership as such.

This clarity may well prove critical. The federal government's capacity to raise revenue from taxes affecting wealth and capital may prove essential for addressing future crises that cannot yet be fully anticipated. For instance, the rapid development of artificial intelligence may bring economic disruptions that dwarf previous technological transitions, including potential widespread labor displacement, the concentration of returns in a narrow class of capital owners, or the need to fund new forms of social insurance at scale.[225] Trade conflicts and the reorganization of global supply chains may require fiscal responses calibrated to new economic realities.[226] The United

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itself remains the taxpayer for Step 2 purposes. The key constitutional caveat is simply that Congress should avoid layering a second mandatory shareholder-level tax on the same undistributed earnings. *See* Patrick Driessen, *Subpart F Is a Gateway to Tax Progressivity*, 190 TAX NOTES FED. 1637, 1640–43 (2026).

[224] Galle, Gamage, & Lord, *supra* note 203 (proposing an annual withholding tax on trust-held wealth as a down payment against transfer-tax liability); Anthropic, *Preparing for AI's Economic Impact: Exploring Policy Responses* (Oct. 14, 2025) (summarizing David Gamage's proposed reforms including a combined corporate value tax with an accompanying value tax on large partnerships).

[225] International Monetary Fund, *Gen-AI: Artificial Intelligence and the Future of Work*, IMF Staff Discussion Note SDN/2024/001, at 2 (Jan. 2024); Council of Economic Advisers, *Potential Labor Market Impacts of Artificial Intelligence: An Empirical Analysis*, at 1 (July 2024).

[226] Organization for Economic Co-operation and Development, *OECD Supply Chain Resilience Review: Navigating Risks*, at 16 (OECD Publishing 2025).

States already faces unsustainable debt trajectories that will presumably eventually force difficult choices about revenue and spending;[227] a constitutional doctrine that forecloses entire categories of tax design could constrain those choices precisely when flexibility may be crucial. In these and other possible future crisis scenarios, Congress's ability to design taxes involving wealth and value may determine whether the fiscal state can respond effectively or instead finds itself hobbled by unclear doctrinal limitations that hinder prompt and effective fiscal actions.

The Base-Tether framework is designed with this uncertainty in mind. For Congress, it translates into a usable drafting guide. Value-measured reforms are most defensible when the statute builds collection and satisfiability into its base architecture, such as through entity-level liability and remittance. For courts, it offers an administrable path between overcorrection and abdication, a way to preserve meaningful constitutional limits without requiring judges to police the metaphysics of "income" across the full range of timing regimes embedded in the Code. For litigants, it suggests a new dimension of constitutional argument. Defenders should brief how statutory design tethers liability to the asserted base, while challengers should aim to show systematic detachment. Grounding the inquiry in design rather than labels responds to the Court's evident concern that formalist manipulation could nullify constitutional structure.

Constitutional tax law has always developed through the interaction of doctrine and design. The taxing power's scope is shaped not only by what courts say but by what Congress builds. This Article has aimed to provide guidance for that building. The Base-Tether framework translates the Court's competing signals into operational guidance that Congress can use when drafting, courts can apply when adjudicating, and litigants can invoke when briefing future taxing-power cases. *Moore* created a minefield. This Article has aimed to map it.

[227] U.S. GOV'T ACCOUNTABILITY OFF., GAO-25-107714, *The Nation's Fiscal Health: Strategy Needed as Debt Levels Accelerate* 2 (Feb. 2025), https://www.gao.gov/assets/gao-25-107714.pdf (noting the federal government is on an "unsustainable fiscal path" requiring "difficult budgetary and policy decisions").